



بانك ملت
bank mellat

ANNUAL REPORT
BANK MELLAT TURKEY
2015

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(CONVENIENCE TRANSLATION OF
INDEPENDENT AUDITOR'S REPORT ON THE MANAGEMENT'S ANNUAL REPORT
ORIGINALLY ISSUED IN TURKISH)

INDEPENDENT AUDITOR'S REPORT ON THE MANAGEMENT'S ANNUAL REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

Report on the Audit of Management's Annual Report in accordance with Independent Auditing Standards

We have audited the annual report of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches ("the Branch") for the period ended 31 December 2015.

Management's Responsibility for the Annual Report

The Branch Management is responsible for the preparation and fair presentation of the annual report which is consistent with the financial statements prepared in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulations" including the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards for the matters not legislated by the aforementioned regulations ("the financial statements") in accordance with the Article 514 of the Turkish Commercial Code No. 6102 ("TCC") and the regulation on "Preparing and Publishing the Annual Report by Banks" published in the Official Gazette dated 1 November 2006 and No. 26333, and for such internal control as management determines relevant to the preparation and fair presentation of such annual report.

Auditor's Responsibility

Our responsibility is to express an opinion on the Branch's annual report based on our audit conducted in accordance with the provisions of the Article 397 of the TCC and the regulation on "Independent Auditing of Banks" published in the Official Gazette dated 2 April 2015 with No. 29314. Our audit involves whether the financial information provided in the annual report are fairly presented and consistent with the financial statements, based on our audit report dated 15 April 2016.

We conducted our audit in accordance with Independent Auditing Standards, which is a part of Turkish Auditing Standards issued by the Public Oversight Accounting and Auditing Standards Authority ("POA"). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial information provided in the annual report are fairly presented and consistent with the financial statements and are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the historical financial information. The procedures selected depend on the auditor's judgment.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

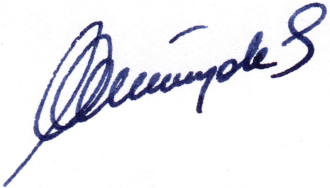
Opinion

In our opinion, the financial information provided in the Management's annual report, in all material respects, are fairly presented and consistent with the audited financial statements.

Other Legal and Regulatory Requirements

In accordance with paragraph three of the Article 402 of the TCC, nothing significant has come to our attention that may cause us to believe that the Branch may not continue its activities for the foreseeable future in accordance with Independent Auditing Standard 570 "Going Concern".

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**



Müjde Şehsuvaroğlu, SMMM
Partner

İstanbul, 6 May 2016

**BANK MELLAT, HEADQUARTERS TEHRAN – IRAN, TURKEY HEAD OFFICE IN ISTANBUL, BRANCH
OFFICES IN ANKARA AND IZMIR 2015 ANNUAL REPORT**

I. GENERAL PRINCIPLES WITH RESPECT TO THE ANNUAL REPORT

- 1. Reporting period** : 2015
- 2. Trade Name of the Branch** : Bank Mellat Merkezi Tahran İran İstanbul
Türkiye Merkez Şubesi
- 3. Address of Bank Mellat Headquarters** : Taleghani Avenue. No: 327 Tehran – İran
Address of the Branch in Turkey : Büyükdere Cad. Binbirçiçek Sok No.1 34330
1. Levent - İstanbul / Türkiye
- 4. Phone** : (0212) 279 80 15
- 5. Fax** : (0212) 284 62 14
- 6. Electronic Website** : www.mellatbank.com
- 7. Electronic Mail** : mellat@mellatbank.com

II. CONTENTS of THE ANNUAL REPORT

a) Introduction

1. Summary Financial Information

Financial Statement (TRY -thousand)

PRIMARY ACCOUNTS	2015	2014	Increase / (Decrease)	
			Amount	(%)
Cash Reserves and Central Bank	44.245	57.071	-12.826	-22,47
Banks	116.001	99.118	16.883	17,03
Receivables from Money Market	7.201	6.001	1.200	20
Credits	10.456	10.875	-419	-3,85
Available For Sale Financial Assets	152.216	142.212	10.004	7,03
Other Assets	10.369	11.042	-673	-6,09
Total Assets	340.488	326.319	14.169	4,34
Deposit	125.079	120.455	4.624	3,84
Borrowed loans	-	-	-	-
Provisions (Tax and Other)	5.133	4.325	808	18,68
Other Liabilities	2.275	3.604	-1.329	-36,88
Shareholder's Equity	208.001	197.935	10.066	5,09
Total Liabilities	340.488	326.319	14.169	4,34

Income Statement (TRY -thousand)

PRIMARY ACCOUNTS	2015	2014	Increase / (Decrease)	
			Amount	(%)
Net Interest Income	19.538	15.129	4.409	29,14
Net Fee and Commission Revenues	817	1.543	-726	-47,05
Other Revenues (net)	3.227	1.422	1.805	126,93
Total Revenues	23.582	18.094	5.488	30,33
Other Operating Charges	-9.060	-8.201	-859	10,47
Provision for Credit and Other Receivables	-285	-1.156	871	-75,35
Profit Before Tax	14.237	8.737	5.500	62,95
Tax Provision	-2.806	-1.767	-1.039	58,80
Net Profit	11.431	6.970	4.461	64,00

2 Historical Development of the Branch

Bank Mellat Iran, established in 1980 as a state bank as a consequence of nationalization of 10 private banks, was registered with Tehran Stock Market and went public in 2008. The bank of which size of assets is USD 52.703 million as of the date of 20th March 2015 has a USD 2.924 million shareholder's equity as of the same date. The Bank has the branches in Turkey, Armenia and Korea and subsidiary banks in the UK, in Germany and Malaysia. Primary purpose of the branches and subsidiaries outside of Iran is to play intermediary role in foreign trade transactions between Iran and especially these countries and the third countries. The Branch is granted permission to operate as the branch of a foreign bank established in Turkey by the decree of Council of Ministers issued on 05th February 1981 numbered.82/2406.

Bank Mellat has 3 branches in Turkey, the Main Branch in Istanbul which became operational on 16th April 1982, and the branches in Ankara and Izmir.

1. Shareholding Structure of the Branch

Shareholding structure of the Bank Mellat Tehran, Iran which possesses the whole capital of the Branch is as follows:

Shareholder	31.12.2015 (**) Share percentage (%)	31.12.2014 Share percentage (%)
Equity shares (Public Shares) (*)	30,00	30,00
State of Islamic Republic of Iran	18,95	19,07
Saba Tamin Investment Company	9,91	5,7
Bank Mellat Employee Future Trust Fund	6,99	5,92
Social Security Institution of Iran	3,81	9,99
Mellat Financial Group Company	3,43	3,99
Personnel Shares	-	3,71
Publicly traded Other Shares	26,91	21,62
Total	100,00	100,00

(*)Mentioned shares are distributed among the provinces in Iran and investment companies were established in each province for management of the portfolio. The Banking Regulation and Supervision Agency (BRSA) was notified of this matter by written notice of the Branch dated 16th August 2011.

(**) The shareholding structure as of 31.12.2015, reported by the General Directorate for Financial Affairs, Directorate for Stock Market and Stocks of Bank Mellat Iran, was submitted to the BRSA (by the written notice dated 11.01.2016 and number 236.

2. Changes in its Capital and Shareholding Structure within the Current Period

There is not any change in paid capital of the Branch within the current period. The branch made an application before BRSA with a correspondence dated 18.02.2016 and number 1022 to increase its subscribed capital of TRY 156.914 to TRY 200.000 with an increase of TRY 40.150 by use of internal sources and TRY 2.936 in cash, TRY 43.086 in total.

3. Titles of Natural or Legal Persons who hold Qualified Shares and Information about Their Share

100% controlling capital holder of the Branch is the Bank Mellat residing in Tehran Iran. Natural or legal persons who hold qualified shares of the Bank Mellat Tehran, Iran as of the end of the period are indicated in the following table.

31.12.2015				
	Share Amounts	Share Rates	Paid Shares	Unpaid Shares
Equity shares (Public Shares)	47.074	%30,00	47.074	-
State of Islamic Republic of Iran	29.735	%18,95	29.735	-

4. Description of the Shares, if any, Held by the Chairman and Members of the Board of Managers and General Manager and Deputy General Managers of the Branch

There is not any share held by the chairman and members of the Board of Managers and the general manager and deputy general managers.

5. Remarks on the Operating Period made by the Chairman of the Board of Managers and General Manager and Their Prospects

5.1. Chairman's Message

In 2015 global economic activities remained stagnant. The growth in emerging countries, which account for 70 percent of global growth, has declined for five years consecutively whereas there has been a slight improvement in developed countries.

Manufacturing activities have been following a weak course due to stagnant global demand and investments. The fact that there is a significant decline in import in some emerging countries in economic distress creates a remarkable pressure on global foreign trade.

Oil prices have considerably decreased since September 2015 in the expectation that oil production would be higher than oil consumption. Futures market indicates that there will be a moderate increase in prices over the next couple of years. Similarly prices of other commodities, mining prices particularly, have decreased. The expectation that these two factors would elevate the demand in developed countries did not actualize due to several reasons such as downward demand in petroleum exporting developed countries, decreasing investments etc. The fact that consumers were mostly kept uninfluenced by the downward prices in some countries was also influential on the result.

Financial volatility arising from the concerns about the growth rates of emerging countries has led to stricter foreign borrowing terms together with the expected increase in US interest rates in general, and resulted in downward capital movement and loss of value in foreign exchange rates in several emerging countries. Diverse inflation rates have emerged in those countries as a reflection of the said developments that conflict with one another with varying severity changing from country to county.

In 2016 the Bank will get back to the normal working conditions and the financial outcomes achieved by the Bank will go beyond those obtained in 2015 as the sanctions imposed on the Islamic Republic of Iran and, hence, the Bank are lifted.

5.2. General Manager's Message

In 2015 the Bank experienced similar circumstances to those in 2014 which was also mainly due to the ongoing economic sanctions imposed. The Bank remained solid in terms of balance sheet during the said period and its profitability grew compared to the previous year.

Although the developed countries have gone through a recovery on a limited scale during the current period, the tendency to weaken has continued in terms of the global economic activities as a result of the slowdown in those countries. Financial markets have followed a volatile course due to the uncertainties and concerns about the growth in global monetary policies. Such volatility has also had some effects on the price of financial assets in emerging countries leading to increased risk premium indicators, a weakness, even an overturn, in the capital flows and a loss in value in local currencies at varying rates in those countries.

Likewise the risk premium indicators and interest rates have increased and there has been a loss in value in Turkish Lira in Turkey. And the loss of value has led to an increase in annual inflation rate. The developments emerged in Turkish Banking Industry in parallel with these developments are briefly explained below.

In December 2015 the size of assets in the sector amounted to TRY 2.357bln with an increase of 18,2% compared to the previous year-end; there was growth during the first three quarters and a slight decrease of 1,6% in the last quarter. The Bank's total assets has increased by 4,34% in the current period.

The receivables from banks and the marketable securities account for 34,07% and 44,71% of the Bank's total assets respectively, and these two items account for 78,77% of the total assets when combined. The deposits and the shareholder's equity account for 36,74% and 61,09% of the total liabilities respectively, which corresponds to 97,82% of the total liabilities.

Interest income amounted to TRY 164bln whereas interest expense amounted to TRY 87bln in the income statement of the banking sector, and the net interest income of the sector reached TRY 77bln. The net period profit of Turkish Banking Sector amounts to TRY 26bln as of December 2015 period. The net profit for December 2015 period increased in the public and foreign banks category whereas it decreased in the domestic private banks category compared to the same period of 2014, and the net profit of the sector increased by 5,89% compared to the previous period as a result.

And the Bank's net profit for the current period has increased by 64%. Despite the increase the level of profitability achieved is insufficient remaining considerably below the net profit amount that could have been achieved under normal conditions. The fact that the Bank's return on equity remains at 5.50% at a time when the return on equity achieved by the sector and the foreign banks is 11,28% and 9,43% respectively is an indicator of the abovementioned situation. Our primary target will be to achieve a level of profitability which would prevent any depreciation in the shareholder's equity of the Bank in 2016 as the international sanctions are lifted.

6. Remarks on the Staff, Number of Branches, Service Type of the Branch, Its Fields of Activity and Position in the Sector.

The branch performs various banking operations. Its core business includes playing intermediary role in trade transactions with the Islamic Republic of Iran and financing such operations when required.

The Bank has 3 branches in Turkey, including the Main branch. It provides all the banking services within the scope of the granted permission through its branches. It is engaged in opening deposit accounts in Turkish Lira and foreign exchange, making international money transfers, acting as an intermediary for cashing checks or clearing bills and as an exchange dealer and meeting any kind of cash and non-cash loan demands, particularly acting as an intermediary for export and import transactions.

Under the current circumstances the branch utilizes a significant part of its resources in treasury bonds and state bonds. As a natural outcome of this situation, it operates with a higher capital adequacy ratio in comparison to the sector average.

The Branch employs 48 persons as of 31 December 2015 (31 December 2014: 48 employees).

a) Information about the Management and Corporate Governance Practices

1. Board of Managers

The vision, mission, short and long term strategic objectives of our Branch which operates as the branch in Turkey of a bank founded abroad are determined by the Board of Managers, established in accordance with the Article 23 of the Banking Law no. 5411, and with such powers and responsibilities of an executive board.

The Board of Managers, consisting of four members as of the end of the period, meets at appropriate intervals and reviews the specified policies and strategies depending upon changing conditions. The Board of Managers of our Branch also acts as the credit committee.

The Board of Managers provisionally delegates some of its powers to the senior management based on the decisions made from time to time.

Written proposals and requests regarding the agenda are submitted to the approval of the Board of Managers together with all the necessary documents at the meeting and the proposals and requests approved by the Board of Managers are forwarded to the executives for implementation following the meeting. The proposals approved by the Board of Managers are then formalized as a resolution and opened for signature of the Chairman and Members of the Board of Managers no later than the last day of the month the meeting is held. In our Bank, all decisions relating to loans are taken by the Board of Managers.

The curriculum vitae and professional experiences of the members of the Board of Directors are as follows.

**BANK MELLAT, HEADQUARTERS TEHRAN – IRAN, TURKEY HEAD OFFICE IN ISTANBUL, BRANCH
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Title	Name	Position	Educational Status
Chairman of the Board of Managers:	Ali Rastegar	Chairman	Master's Degree
Members of the Board of Managers:	Ahmad Jamehdor	Vice General Manager	Bachelor's Degree
	Kourosh Maadelat	Member	Master's Degree
	Yusuf Çağala	Member in charge of Internal Audit, Internal Control and Risk Management	Bachelor's Degree

ALİ RASTEGAR – Chairman of the Board of Managers

Ali RASTEGAR graduated from Azad University in Iran and was awarded the Master's Degree in Business Management. Ali RASTEGAR, who started his career in banking in 2003, worked as a Branch Manager, General Manager Consultant, Deputy General Manager, Member of the Board of Managers and General Manager. He has been working as a Member of the Board of Managers and General Manager at the Head Office in Tehran since March 2015, and started working as the Chairman of the Board of Managers at the Branch on 30 July 2015.

AHMAD JAMEHDOR – Deputy General Manager–Vice General Manager

Ahmad Jamehdor is a graduate of Ankara Academy of Economical and Commercial Sciences, Department of Banking and Insurance. He started his professional banking career at our Bank in 1985 and worked in several departments such as current accounts, remittances, accounting, human resources, and financial affairs. He was appointed as the Vice General Manager in May 2009. He acts as Vice General Manager who is responsible for Financial Control, Treasury, Information Systems, Human Resources and Administrative Affairs and Operation. He was appointed as Deputy General Manager in September 2013.

KOUROSH MAADELAT - Member

Kourosh MAADELAT graduated from Tehran University in Iran and was awarded the Master's Degree in Economics. Kourosh MAADELAT, who started his career in banking in 2001, worked as a Secretary General, Vice President at Loan Department, and Deputy General Manager at Legal Affairs and Loans. He has been working as a Member of the Board of Managers at the Head Office in Tehran since 2014, and started working as the Chairman of the Board of Managers at the Branch on 30 July 2015.

YUSUF ÇAĞALA - Member who is Responsible for Internal Systems acting as Audit Committee

Yusuf Çağala who is a graduate of Finance Department of the Faculty of Management of Istanbul University started his banking career in 1978. Aforesaid person who worked in various positions for several banks joined the Branch in December 2006. He worked as Risk Management Department Executive from 2008 until 19.07.2013 when he was appointed as the member of the Board of Managers. Yusuf Çağala has been appointed as the Member of Audit Committee who is Responsible for Internal Systems on 02/08/2013.

2. Senior Management

General Manager is responsible for the management and operation of the Branch and the departments in accordance with the rules and the on risk management principles determined by the Board of Managers. Information about senior managers are as follows.

Deputy General Manager/ Vice General Manager:	Ahmad Jamehdor	Deputy General Manager in charge of Financial Control, Treasury, Accounting, Human Resources, Information Systems, Administrative Affairs and Operations	Bachelor's Degree
	Nader Motedaien	Deputy General Manager in charge of Current Accounts	Bachelor's Degree

AHMAD JAMEHDOR – Deputy General Manager–Vice General Manager

Mentioned in section, Board of Managers.

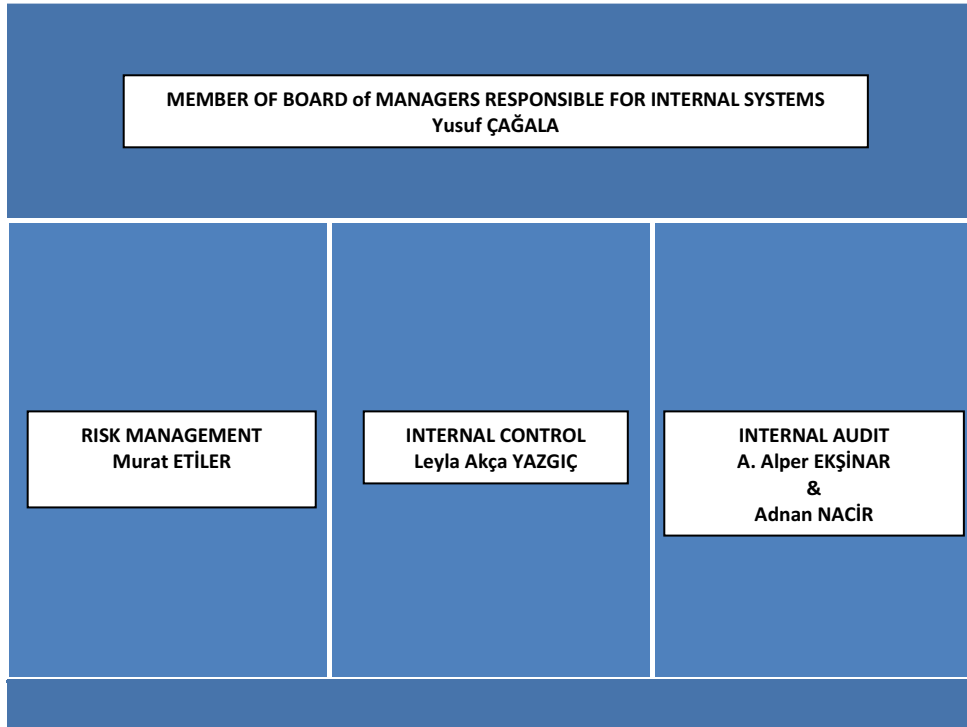
NADER MOTEDAIEN – Deputy General Manager

Nader MOTEDAIEN graduated from Marmara University in Turkey, Faculty of Economics and Administrative Sciences, Department of Economics (English). Nader MOTEDAIEN, who started his career in banking in 1993, worked as a Supervisor in Foreign Affairs Department, a Specialist in Foreign Transactions Department and a Premium Branch Deputy Manager. And he started working at the branch with the capacity of Deputy General Manager on 13 October 2015.

3. Information About the Operations Conducted Pursuant to the Provisions of the Regulation on the Internal Systems of Banks and the Department Managers Regarding Internal Systems

Internal Audit, Internal Control and Risk Management systems are under the governance of the Board of Managers and subject to the supervision of non-executive member who is responsible for internal systems. The member who is responsible for internal systems is liable to communicate any issue that may have any adverse effect on the operations of the Branch to the Board of Managers by means of the reports received regularly from independent audit institution and internal control, internal audit and risk management departments.

Internal Audit, Internal Control and Risk Management Departments function pursuant to the Regulations approved by the Board of Directors. Organization Chart of Internal Systems is as follows.



Vocational information of line managers working within internal systems of the Branch are indicated below.

A. Alper Ekşinar, Internal Audit Department: He has Master's Degree and 25 years of Finance/Banking experience. He was assigned to the management of Internal Audit in October 2014.

Leyla Akça Yazgıç, Internal Control Department: She has a Bachelor's degree and has been working for the Branch for 20 years. She was appointed as the manager of Internal Control on 01.10.2012.

Murat Etiler, Risk Management Department: He has Bachelor's degree and 25 years of banking experience. He has been working at the Branch for almost eight years. He has been appointed as the department executive on 12.08.2013.

4. Other Committees

Names, tasks, powers and members of miscellaneous committees within our Branch are explained below:

The committees have been established pursuant to the regulations as specified under the Banking Law no. 5411 and relevant legislation and organized in accordance with those regulations and every required measure to allow them to work independently have been taken by the Branch.

Asset/Liability Committee

Assets & liabilities committee, consisting of the vice general managers under the chairmanship of the General Manager is responsible for evaluation of market

conditions and determining the policies regarding maturity consistency between assets and liabilities, maintaining the interest rate difference, foreign exchange position and liquidity pursuant to those conditions. During the year, the Committee held 52 meetings and took fifty two resolutions.

Executive Committee for Information Technologies

The Executive Committee for Information Technologies consists of the Member of the Board of Managers who is responsible for internal systems, Vice General Manager of the main Branch, Manager of System and Network Management, Application Development and Software Manager and Internal Control and Risk Management Executives under the chairmanship of the General Manager. The Committee holds meetings quarterly.

The Committee was established to fulfill the following missions:

- To ensure that Information Technologies are consistent with the Bank's scale and operations and the quality of offered products and the strategic objectives of the Bank,
- Approval of the policies regarding the management, sustainability, maintaining the information security and confidentiality in Information Technologies,
- To assess the risks that may be imposed due to the use of Information Technologies and approve the action plans designed for minimizing the risk levels resulting from Information Technologies,
- Approval of the resource needs prioritized in line with the strategies for Information Technologies,
- To evaluate the findings regarding general controls in information technologies and application controls identified in consequence of internal audits and independent audits and approve the actions to be taken,
- Evaluation of risk analysis results regarding outsourced support services for Information Technologies and submitted report regarding qualification of outsourcing companies,
- Assessment of detected breaches of information security and making decisions regarding actions to be taken and establishing an "emergency response team" when required,
- Assessment of the results of the tests performed for the purpose of ensuring business continuity and data security,
- Evaluation of the current developments in information technologies and data security and their applicability at the Bank,
- Assessment of the complaints that may occur regarding Information Technologies and the services provided based on the same and approval of the actions to be taken,
- Evaluation and approval of investments and projects regarding Information Technologies.

Risk Committee

The fields of activity of the Committee are as follows;

- To designate the risk management strategies and policies to be followed and submit for the approval of the Board of Managers,

- To discuss and make decisions about the issues brought up by the Risk Management,
- To specify the limits for imposed primary risks, to monitor the breach of limits and to make suggestions about elimination of such breaches for the Board of Managers,
- Making suggestions about alterations in Risk policies for the Board of Managers,
- To ensure fulfillment of monitoring and communication about determination, identification, measurement and management processes of the risks to be performed by the Risk Management Department,
- Monitoring the process to ensure the accuracy and stability of risk measurement method and the results.

The committee consists of the Member of the Board of Managers who is responsible for internal systems, Vice General Manager and Risk Management Department Executive under the chairmanship of the General Manager. 12 meetings and resolutions were held and taken by the Committee within the year.

Audit Committee

Pursuant to the relevant legislation, Yusuf Çağala has been appointed as the Member of the Board of Managers who is responsible for the internal systems to fulfill the tasks of aforesaid committee on 02.08.2013 and still holds the office.

Member of the Board of Managers who is responsible for the internal systems and fulfils the tasks of the Audit Committee has the power and responsibility regarding the matters specified in paragraph 2 of Article 7 of the Regulations on Internal Systems published in Official Gazette dated 11 July 2015 and number 29057.

Purchasing Committee

The committee is responsible for purchasing and selling movable property and software in line with the needs of the Bank. It concluded 26 buying transactions during the year.

5. Human Resources Practices:

Probation period for any contracted personnel to be employed at the Branch is two months whereas this period is four months for the personnel to be employed as a union member. Those employees who are thought to be useful for the Branch during the probation period will become a member of the permanent staff upon the relevant line manager's suggestion. Branch managers and division heads will submit their requests regarding whether the employment contract of the staff subject to probation period is to be maintained in such timeframe that their request will be received by the personnel department at least 10 days before the end of such period. Employment contract of those who are considered as inadequate for the job in the Branch will be terminated upon the relevant line manager's suggestion by the General Manager without dismissal notice or compensation.

Advancement means promoting an employee of the Branch to a higher position than his/her current position. In case of advancement remuneration of the staff also changes starting from the clerical level. Fulfilment of the following conditions is required for advancement of an employee;

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- Completing a specified term of office at the current position,
- Having a positive qualification,
- Having the skills and competency required by the upper position,
- Availability of a vacant upper position,
- Passing any examination to be held when necessary

For advancement of employees of the Branch to an upper position completing following term of office at their current position is required

- At least 3 years for university graduates,
- At least 4 years for high school graduates,

However term of office may be extended up to one year at most pursuant to the powers.

A dividend payment to the amount of one monthly salary is made once a year by taking the performance score and other criteria (warnings and penalties) into consideration. A dividend Payment to the amount of TRY 304 thousand has been made in March 2016.

6. Information about the transactions with the risk group in which the branch is included

6.1. Information about the credits extended to the risk group in which the branch is included

Credit Risk of the Risk Group in which the Branch is included	2015		2014	
	Cash	Non-cash	Cash	Non-cash
Credits and Other Receivables				
Opening Balance	53.464		25.408	14
Period-end Balance	61.127		53.464	0
Received Interest and Commission Revenues	3.119		3.667	2

Notes:

1. Risk group is defined in paragraph 2 of Article 49 of the Banking Law numbered 5411.

2. The information in the table also covers the receivables from the banks as well as the loans extended.

6.2. Information about deposit accounts owned by the risk group in which the branch is included

Risk Group of the Branch (1)	Subsidiaries, Affiliates & Partnerships jointly controlled		Direct & Indirect Partners of the Branch		Other Real & Legal Entities included in the Risk Category	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Deposit						
Beginning of Period	-	-	-	-	76.010	53.854
End of Period	-	-	-	-	83.696	76.010
Deposit Interest Expenses	-	-	-	-	37	-

Notes:

1. Risk group is defined in paragraph 2 of Article 49 of the Banking Law numbered 5411.

BANK MELLAT, HEADQUARTERS TEHRAN – IRAN, TURKEY HEAD OFFICE IN ISTANBUL, BRANCH OFFICES IN ANKARA AND IZMIR 2015 ANNUAL REPORT

2. TRY 67.621 and TRY 16.075 of the deposit to the amount of TRY 83.696 indicated in Deposit – Risk Group line of the balance sheet as of the date of 31 December 2015 belong to the Bank Mellat Headquarters – Iran and Iran Central Bank respectively.

3. (TRY 62.770 and TRY 13.240 of the deposit to the amount of TRY 76.010 indicated in Deposit – Risk Group line of the balance sheet as of the date of 31 December 2014 belong to the Bank Mellat Headquarters – Iran and Iran Central Bank respectively.)

6.3. Information about the loans borrowed from the risk group in which the branch is included

Loans borrowed from the Risk Group in which the Branch is included	2015	2014
Beginning of the Period	-	-
End of the Period	-	-
Interest Expense on Loan	-	-

Notes:

1. Risk group is defined in paragraph 2 of Article 49 of the Banking Law numbered 5411.

6.4. Information about futures contracts, options contracts and suchlike other contracts made between the Branch and the risk group in which the branch is included

There are not any futures, options and suchlike other contracts made between the Branch and the risk group as of the dates of 31 December 2015 and 31 December 2014.

6.5. Benefits provided for Senior Management:

As of the date of 31 December 2015 payments to the amount of TRY 1.572.000 (31 December 2014: TRY 1.708.000) have been made to the senior management of the Branch.

7. Outsourced Services and Information About Outsourcing Persons And Organizations

Outsourced services which are within the scope of the Regulation on outsourced support services by the Banks and authorization of such outsourcing companies are as follows:

Name / Title	Service Purchased
SECURVERDİ GÜVENLİK HİZMETLERİ A.Ş. (*)	External Security Provider
FİNEKSUS NETWORK ÇÖZÜMLERİ A.Ş.	Swift Paygate Messenger Software Maintenance
DESMER GÜVENLİK HİZMETLERİ TİC. A.Ş.	Safe Transportation of Cash (Group Service) & External Security Provider
GÜZEL SANATLAR ÇEK BASIM LTD. ŞTİ.	Printing of the Checkbooks

(*) The contract has been terminated within the period.

c) Assessment of Financial Information and Risk Management

1. Assessment of Functioning of Internal Control, Internal Audit and Risk Management Systems made by the Audit Committee and Its Activities within the Accounting Period

1.1. Operations of Internal Control Department

Internal Control Department is organized for the purpose of keeping the risks associated with the financial and operational activities of the Branch under control and at a reasonable level and prevention of occurrence of such risks. Internal control activities are reviewed regularly at every level of the Branch and the practices, policies and processes determining these activities are renewed in line with the requirements and integrity of the activities with internal control system is ensured.

Work flows regarding the operations of the branch include the necessary control steps and points properly and completely. Performing the operations efficiently, properly, accurately and safely, and discrimination of functional tasks, authorizations and limits regarding transactions, control of information systems, post-transaction controls, transaction specific other controls are ensured by the employees at every level. The said operational and internal control organization also plays an important role in performing the processes and controls regarding the accounting and financial reporting systems more safely and effectively.

The main framework of the internal control operations structured within the internal control system consists of the operational controls, controls regarding data and communication and the financial reporting systems and compliance controls.

Internal control department acting under control of the member of the Board of Managers, responsible for Internal Controls, aims at making maximum contribution to the reliability, efficiency, and robustness and consistency with the legislation and standards of the internal control systems. The activities of the internal control department which is responsible for reviewing, monitoring, and evaluating the efficiency of the controls regarding the operations of the Branch and reporting the results to the relevant persons are structured in such manner to cover the headquarters departments and branches.

Any finding, opinion and suggestion regarding the internal control activities will be disclosed to those employees performing the operations and the relevant process owners in the first place, and thus, required contribution is provided for implementation of any measure or solution which would improve the processes or activities pertaining to the internal control system. All those efforts are continuously monitored by the employees of internal control department as well as those who perform the activities on regular basis and assessments relating to the activities are reported to the senior management.

The results of the internal control operations are also monitored and evaluated by the Board of Managers and the board's member who fulfills the tasks of the audit committee on regular basis.

The headquarters departments and branches will be subject to a physical site visit quarterly, at least four times a year, as executed by the internal control department. Internal control operations are performed based on the principle of testing the control steps and points on work flows in terms of the banking processes and the risk matrix prepared.

1.2. Operations of Internal Audit Department

Internal control department of Bank Mellat operates under governance of the member of the Board of Managers, responsible for Internal Controls. Internal audit department is responsible for auditing all the activities carried out by all the headquarters departments and branches in accordance with the law and other relevant legislation and in-house strategies, policies, principles and objectives including internal control, risk management, legislation and FCIB (Financial Crimes Investigation Board) compliance. This department which performs audit of banking processes and information systems is also engaged in preliminary investigation, inquiry and investigation activities if necessary.

The reports prepared as a consequence of the performances of the department which employs one inspector and an assistant inspector are submitted to the Board of Managers and relevant departments through the audit committee in accordance and the measures taken for detected issues are monitored by the internal audit department. Thanks to periodical activity reports submitted by the member of the Board of Managers who acts as the audit committee performance of the department can be closely monitor.

In 2015, banking processes carried out by a total of three branches and the headquarters departments were realized in compliance with annual risk based plan determined by audit of pursuant to COBIT.

1.3. Risk Management Activities

Risk management process and the functions included in this process are among the primary responsibilities of the Board of Managers. The Risk Committee and the Assets & Liabilities Committee and the risk management department which is the operational part of the risk management function operating under governance of the Board of Managers inform the Board of Managers and the senior management about the risks imposed with daily and monthly reports.

The Board of Managers closely monitors those committees and the efforts of the risk management department and continuously evaluates whether the results are consistent with specified objectives.

Stress test and scenario analysis performed within the period considering current conditions have been submitted for the Board of Managers' evaluation.

1.4. Compliance Activities

Compliance is the main and primary responsibility of the executives and employees at any level in the Branch. Such operations which can be classified into legal compliance, compliance to banking operations and compliance to the prevention of Crime Revenue Laundering are included in the responsibilities of the internal audit department, internal control department and compliance officer respectively.

In this context the automatic rating for various banking operations considering customer risk, transaction risk and amount risk has been improved within the period.

Results of the compliance operations are monitored and evaluated regularly by the senior management of the Branch.

1.5. Overall Assessment

As in previous years the most important risk that the branch was exposed to in 2015 was the credit risk. The amounts underlying the credit exposure and market risk increased by 7,56% and 29,81% respectively by the end of the period. On the other side the risk exposure underlying the operational risk declined by 49,30% due to the influence of the contraction in operational income. As a result of these developments the standard rate for capital adequacy increased from 80,04% to 95,61% at the end of 2015 compared to the previous year.

2. Independent Audit Report

**BANK MELLAT, HEAD OFFICE:
TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S
REPORT,
FINANCIAL STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2015**

*Translated into English from the
Original Turkish Report*

**CONVENIENCE TRANSLATION OF
THE INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR 1 JANUARY 2015-31 DECEMBER 2015
ORIGINALLY PREPARED AND ISSUED IN TURKISH**

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

Report on the Financial Statements

We have audited the accompanying financial statements of Bank Mellat, Head Office: Tahran-İran İstanbul-Turkey Main, Ankara and İzmir Branches ("the Branch") as at 31 December 2015, and the statement of income, statement of income and expense items accounted under shareholders' equity, statement of changes in shareholders' equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

The Bank Management is responsible for the preparation and fair presentation of the financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulations" including the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards for the matters not legislated by the aforementioned regulations, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Independent Auditing of Banks" published in the Official Gazette dated 2 April 2015 with No. 29314 and Independent Auditing Standards which is a part of Turkish Auditing Standards published by the Public Oversight Accounting and Auditing Standards Authority ("POA"). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Bank Mellat, Head Office: Tahrir-Iran İstanbul-Turkey Main, Ankara and İzmir Branches as at 31 December 2015, and of its financial performance and its cash flows for the year then ended in accordance with the BRSA Accounting and Reporting Regulations.

Report on Other Legal and Regulatory Requirements

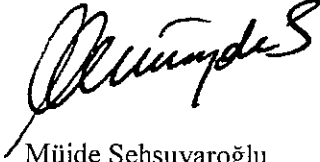
In accordance with paragraph four of the Article 402 of the Turkish Commercial Code No. 6102 ("TCC"), nothing has come to our attention that may cause us to believe that the Branch's set of accounts and financial statements prepared for the period 1 January-31 December 2015 does not comply with TCC and the provisions of the Company's articles of association in relation to financial reporting.

In accordance with paragraph four of the Article 402 of TCC, the Board of Managers provided us all the required information and documentation with respect to our audit.

Additional paragraph for English translation:

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards (IFRS) have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Bank's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**



Müjde Şehsuvaroğlu
Partner

İstanbul, 15 April 2016

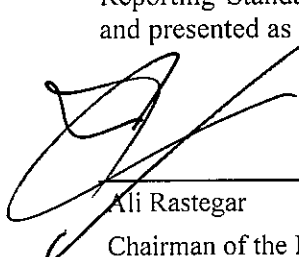
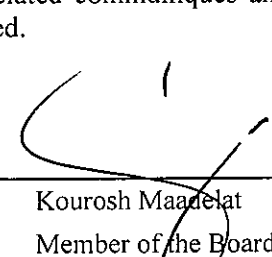
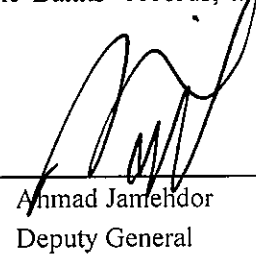
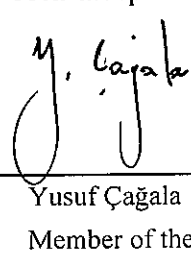
**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2015**

Headquarter's Address : Taleghani Avenue. No: 327 Tahrān -- İran
Turkey Main Branch Address : Büyükdere Cd. Binbirçiçek Sk. No:1 34330 1.Levent-
İstanbul/Türkiye
Telephone : (0212) 279 80 15
Fax : (0212) 284 62 14
Website : www.mellatbank.com
E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

			
Ali Rastegar Chairman of the Board of Managers	Kourosh Maadilat Member of the Board of Managers	Ahmad Janfahdor Deputy General Manager	Yusuf Çağala Member of the Board of Managers and Internal Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

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**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2015**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahrān-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahrān, Iran, established its branches in İstanbul, Ankara and İzmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahrān, Iran, is as follows:

Shareholders	31 December 2015 (**)Share Percentage (%)	31 December 2014 (*)Share Percentage (%)
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	18,95	19,07
Saba Tamin Investment Co.	9,91	5,7
Bank Mellat's Staff Future Security Fund	6,99	5,92
Social Security Organisation of Iran	3,81	9,99
Mellat Financial Group Co.	3,43	3,99
Personnel Shares	-	3,71
Other Shares Quoted on Stock Exchange	26,91	21,62
Toplam	100,00	100,00

(*) These shares have been distributed to the provinces of Iran and investment firms have been established within the provinces to be able to manage the shares. This was proclaimed to BRSA with the correspondence dated on 16 August 2011.

(**)Shareholding structure of the Bank Mellat of Tehran-Iran as of 31 December 2015 which has been issued by Stock and Shares Office, has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 11 January 2016 and with No. 236.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2015**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Title
Chairman of the Board of Managers:	Ali Rastegar	Chairman	Master
Members of Board of Managers:	Ahmad Jamehdor	Deputy General Manager	Under Graduate
	Kouros Maddelat	Member	Master
	Yusuf Çağala	Internal Audit, Internal Control and Risk Management	Under Graduate
Assistant General Manager /Vice General Managers:	Ahmad Jamehdor	Financial Controlling, Treasury, Human Resources, Information Systems, Administrative and Operations Assistant General Manager	Under Graduate
	Nader Motedaïen	Current Accounts Assistant General Manager	Under Graduate

The individuals above do not possess shares in the Branch. Bank Mellat is the only shareholder and owns all shares of the Branch.

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

	31 December 2015			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	29.735	18,95%	29.923	-

	31 December 2014			
Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	29.923	19,07%	29.923	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2015, the Branch has 48 employees (31 December 2014: 48 employees).

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS**

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	2.488	41.757	44.245	3.122	53.949	57.071
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	34.170	81.831	116.001	32.296	66.822	99.118
IV.	MONEY MARKETS		7.201	-	7.201	6.001	-	6.001
4.1	Interbank Money Market Placements		7.201	-	7.201	6.001	-	6.001
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	152.216	-	152.216	142.212	-	142.212
5.1	Share Certificates		727	-	727	967	-	967
5.2	Public Debt Securities		146.573	-	146.573	130.650	-	130.650
5.3	Other Marketable Securities		4.916	-	4.916	10.595	-	10.595
VI.	LOANS AND RECEIVABLES	(I-e)	9.033	1.423	10.456	10.875	-	10.875
6.1	Loans and Receivables		4.576	1.423	5.999	6.172	-	6.172
6.1.1	Bank's Risk Group		58	-	58	43	-	43
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		4.518	1.423	5.941	6.129	-	6.129
6.2	Non-Performing Loans		7.613	-	7.613	7.822	-	7.822
6.3	Specific Provisions (-)		(3.156)	-	(3.156)	(3.119)	-	(3.119)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-i)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Uncamed Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.480	-	8.480	8.257	-	8.257
XV.	INTANGIBLE ASSETS (Net)	(I-n)	73	-	73	169	-	169
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		73	-	73	169	-	169
XVI.	INVESTMENT PROPERTY (Net)	(I-o)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-p)	724	-	724	595	-	595
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		724	-	724	595	-	595
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-s)	657	435	1.092	636	1.385	2.021
	TOTAL ASSETS		215.042	125.446	340.488	204.163	122.156	326.319

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**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
I.	DEPOSITS	(II-a)	21.792	103.287	125.079	16.459	103.996	120.455
1.1	Deposits of Bank's Risk Group		10.493	73.203	83.696	10.871	65.139	76.010
1.2	Other		11.299	30.084	41.383	5.588	38.857	44.445
II.	TRADING DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
III.	FUNDS BORROWED	(II-c)	-	-	-	-	-	-
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	MARKETABLE SECURITIES ISSUED (Net)		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	FUNDS		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	SUNDRY CREDITORS		413	566	979	951	1.557	2.508
VIII.	OTHER LIABILITIES	(II-d)	1.285	11	1.296	1.088	8	1.096
IX.	FACTORING PAYABLES		-	-	-	-	-	-
X.	FINANCIAL LEASE PAYABLES (Net)	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	HEDGING DERIVATIVE FINANCIAL LIABILITIES	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	PROVISIONS	(II-g)	2.464	1.902	4.366	2.092	1.507	3.599
12.1	General Loan Loss Provision		463	1.824	2.287	547	1.445	1.992
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		1.801	-	1.801	1.201	-	1.201
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		200	78	278	344	62	406
XIII.	TAX LIABILITY	(II-h)	767	-	767	726	-	726
13.1	Current Tax Liability		767	-	767	726	-	726
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	SUBORDINATED LOANS	(II-j)	-	-	-	-	-	-
XVI.	SHAREHOLDERS' EQUITY	(II-k)	208.001	-	208.001	197.935	-	197.935
16.1	Paid-in capital		156.914	-	156.914	156.914	-	156.914
16.2	Capital Reserves		(1.090)	-	(1.090)	275	-	275
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(781)	-	(781)	275	-	275
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		(309)	-	(309)	-	-	-
16.3	Profit Reserves		1.352	-	1.352	1.307	-	1.307
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		1.352	-	1.352	1.307	-	1.307
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		50.825	-	50.825	39.439	-	39.439
16.4.1	Prior Years' Income or (Loss)		39.394	-	39.394	32.469	-	32.469
16.4.2	Current Year Income or (Loss)		11.431	-	11.431	6.970	-	6.970
	TOTAL LIABILITIES		234.722	105.766	340.488	219.251	107.068	326.319

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
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UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		3.400	961	4.361	7.793	2.416	10.209
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	3.287	961	4.248	7.674	2.416	10.090
1.1.	Letters of Guarantee		3.287	650	3.937	7.674	2.168	9.842
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		3.287	650	3.937	7.674	2.168	9.842
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	311	311	-	248	248
1.3.1	Documentary Letters of Credit		-	311	311	-	248	248
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4	Refinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7	Factoring Guarantees		-	-	-	-	-	-
1.8	Other Guarantees		-	-	-	-	-	-
1.9	Other Collaterals		-	-	-	-	-	-
II.	COMMITMENTS	(III-a-1)	113	-	113	119	-	119
2.1.	Irrevocable Commitments		113	-	113	119	-	119
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		113	-	113	119	-	119
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		76.682	1.047.259	1.123.941	47.837	911.673	959.510
IV.	ITEMS HELD IN CUSTODY		498	43	541	169	13	182
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		25	43	68	143	13	156
4.4	Commercial Notes Received for Collection		473	-	473	26	-	26
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		14.368	171.468	185.836	19.401	139.892	159.293
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		7.621	48.236	55.857	12.265	31.178	43.443
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		5.347	122.904	128.251	6.352	108.363	114.715
5.6	Other Pledged Items		1.400	328	1.728	784	351	1.135
5.7	Pledged Items-Depository		-	-	-	-	-	-
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		61.816	875.748	937.564	28.267	771.768	800.035
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		80.082	1.048.220	1.128.302	55.630	914.089	969.719

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III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2015-31/12/2015)	PRIOR PERIOD (01/01/2014-31/12/2014)
I.	INTEREST INCOME	(IV-a)	19.954	15.380
1.1	Interest on Loans	(IV-a-1)	3.230	1.854
1.2	Interest Received from Reserve Requirements		55	4
1.3	Interest Received from Banks	(IV-a-2)	3.146	1.830
1.4	Interest Received from Money Market Transactions		381	809
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	13.117	10.866
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		13.117	10.866
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		25	17
II.	INTEREST EXPENSE	(IV-b)	(416)	(251)
2.1	Interest on Deposits	(IV-b-4)	(416)	(251)
2.2	Interest on Funds Borrowed	(IV-b-1)	-	-
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	-
III.	NET INTEREST INCOME (I + II)		19.538	15.129
IV.	NET FEES AND COMMISSIONS INCOME		817	1.543
4.1	Fees and Commissions Received		1.080	1.630
4.1.1	Non-cash Loans		616	1.202
4.1.2	Other		464	428
4.2	Fees and Commissions Paid		(263)	(87)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(263)	(87)
V.	DIVIDEND INCOME	(IV-c)	-	-
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	2.845	641
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		2.845	641
VII.	OTHER OPERATING INCOME	(IV-e)	382	781
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		23.582	18.094
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)	(IV-f)	(285)	(1.156)
X.	OTHER OPERATING EXPENSES (-)	(IV-g)	(9.060)	(8.201)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)		14.237	8.737
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		-	-
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	14.237	8.737
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	(2.806)	(1.767)
16.1	Current Tax Provision		(2.717)	(1.880)
16.2	Deferred Tax Provision		(89)	113
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		11.431	6.970
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	11.431	6.970
	Earnings/(Loss) per share		-	-

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY		CURRENT PERIOD 1 January - 31 December 2015	PRIOR PERIOD 1 January - 31 December 2014
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS		
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	(1.320)	2.843
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	(386)	-
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	341	(281)
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	(1.365)	2.562
XI.	CURRENT YEAR PROFIT/LOSS	11.431	(6.970)
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	(275)	(1.057)
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	11.706	8.027
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	10.066	9.532

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2014 - 31/12/2014	Note	Paid-in Capital	Adjustmen t to Share Capital	Share Cancellation Premiums	Share Cancellation Profits	Legal Reserves	Statut Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging/Discontinued Transactions Revaluation Funds	Held for Resale/ Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	1.251	-	6.959	25.566	(1.230)	-	-	-	-	189.460
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences (V-4)		-	-	-	-	-	-	-	-	-	-	1.505	-	-	-	-	1.505
4.1	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity (V-4)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Capital Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	6.970	6.970	-	-	-	-	-	6.970
18.1	Profit Distribution	(V-4)	-	-	-	-	-	-	56	-	(6.959)	6.903	-	-	-	-	-	-
18.2	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Transfers to Reserves	(V-4)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Other		-	-	-	-	-	-	56	-	(6.959)	6.903	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	1.307	-	6.970	32.469	275	-	-	-	-	197.935

The accompanying explanations and notes form an integral part of these financial statements.

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2015 - 31/12/2015	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation	Share Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156,914	-	-	-	-	-	-	1,307	-	6,970	32,469	275	-	-	-	-	197,935
II.	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Marketable Securities Valuation Differences (V-a)		-	-	-	-	-	-	-	-	-	-	-	(1,056)	-	-	-	-	(1,056)
V.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity (V-c)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Capital Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIX.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XX.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XXI.	Other		-	-	-	-	-	-	-	-	(309)	-	-	-	-	-	-	-	(309)
XXII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	-	11,431	-	-	-	-	-	-	-
XXIII.	Profit Distribution		-	-	-	-	-	-	-	45	-	(6,970)	6,925	-	-	-	-	-	11,431
XXIV.	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XXV.	Transfers to Reserves		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XXVI.	Other		-	-	-	-	-	-	-	45	-	(6,970)	6,925	-	-	-	-	-	-
XXVII.	Period End Balance (I+...+XXVII)		156,914	-	-	-	-	-	-	1,352	(309)	11,431	39,394	(781)	-	-	-	-	208,001

The accompanying explanations and notes form an integral part of these financial statements.

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VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2015 – 31/12/2015)	PRIOR PERIOD (01/01/2014 – 31/12/2014)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		9.344	3.996
1.1.1	Interest received		19.830	14.457
1.1.2	Interest paid		(464)	(263)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		1.112	1.659
1.1.5	Other income		114	113
1.1.6	Collections from previously written-off loans and other receivables		309	-
1.1.7	Payments to personnel and service suppliers		(6.152)	(5.625)
1.1.8	Taxes paid		(2.697)	(2.374)
1.1.9	Other		(2.708)	(3.971)
1.2	Changes in operating assets and liabilities		3.691	(5.789)
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(12)	1
1.2.4	Net (increase) / decrease in loans		392	12.120
1.2.5	Net (increase) / decrease in other assets		622	(888)
1.2.6	Net increase in bank deposits		18.476	24.902
1.2.7	Net increase / (decrease) in other deposits		(13.775)	(42.056)
1.2.8	Net (decrease) in funds borrowed		-	-
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(1.742)	132
I.	Net cash provided from banking operations		13.305	(1.793)
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net cash provided from investing activities		(11.902)	10.270
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(539)	(139)
2.4	Fixed assets sales		-	6
2.5	Cash paid for purchase of investments available-for-sale		(115.854)	(124.413)
2.6	Cash obtained from sale of investments available-for-sale		104.491	134.816
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	-
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		-	-
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	Effect of change in foreign exchange rate on cash and cash equivalents	(VI-a)	3.728	1.706
V.	Net increase in cash and cash equivalents (I + II + III + IV)		5.131	10.183
VI.	Cash and cash equivalents at beginning of the period	(VI-a)	162.140	151.957
VII.	Cash and cash equivalents at end of the period (V + VI)	(VI-a)	167.271	162.140

The accompanying explanations and notes form an integral part of these financial statements

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VII. PROFIT DISTRIBUTION TABLE

		CURRENT PERIOD (01/01/2015 – 31/12/2015)	PRIOR PERIOD (01/01/2014 – 31/12/2014)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income	14.237	8.737
1.2	Taxes And Duties Payable (-)	(2.806)	(1.767)
1.2.1	Corporate Tax (Income tax)	(2.717)	(1.880)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (*)	(89)	113
A.	NET INCOME FOR THE YEAR (1.1-1.2)	11.431	6.970
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A)+(1.3+1.4+1.5)]	11.431	6.970
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	45
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

Note: As of date of these financial statements, profit distribution for 2015 has not yet been determined.

(*) Deferred tax income is presented under other tax and legal duties. Deferred tax income should be deducted during profit distribution, thus it is classified under extraordinary reserves.

The accompanying explanations and notes form an integral part of these financial statements

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As at 20 March 2014, the financial statements issued by the Headquarters of the Branch is presented below. The Headquarters of the Branch did not issue financial statements as at 20 March 2015 and 20 March 2014.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2015)	PRIOR PERIOD (20 March 2014)(*)
Cash and cash equivalents	791.862	726.995
Central bank	5.751.951	3.907.289
Other assets	46.158.994	45.283.799
Total Assets	52.702.807	49.918.083
Deposits	33.806.363	33.259.439
Other liabilities	15.971.970	13.857.938
Shareholders' equity	2.924.474	2.800.706
Total Liabilities	52.702.807	49.918.083

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE INCOME STATEMENT (THOUSANDS OF USD)		
	CURRENT PERIOD (20 March 2015)	PRIOR PERIOD (20 March 2014)(*)
Interest and investment income	4.567.388	3.462.856
Interest expense on deposits	(3.425.419)	(2.127.798)
Other expenses	(984.671)	(667.080)
Other income	2.359.847	1.952.022
Total net income	2.517.145	2.620.000
Personnel and operating expenses	(1.931.732)	(1.747.888)
Profit before tax	585.413	872.112
Taxes payables	(52.529)	(83.068)
Net Profit	532.884	789.044

(*) As restated.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulation" which includes the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards published by the Public Oversight Accounting and Auditing Standards Authority for the matters not regulated by the aforementioned legislations.

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2015, rates used for conversion of foreign currency balances into Turkish Lira are TL 2,9181 for USD, TL 3,1838 for Euro and TL 0,02418 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2015 and 31 December 2014, the Branch has no investments in associates and subsidiaries.

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IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of 31 December 2015, the Branch has no derivative instruments that qualify for hedge accounting.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income when collected. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS : (Continued)

a. Financial assets at fair value through profit or loss: (Continued)

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2015 and 31 December 2014.

d. Available-for-sale financial assets:

Financial assets available-for-sale consists of financial assets other than "Loan and receivables", "Held-to-maturity" and "Financial assets at fair value through profit or loss". Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2015 and 31 December 2014.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. EXPLANATIONS ON REPURCHASE AND RESALE AGREEMENTS AND SECURITIES LENDING:

The Branch has no repurchase and resale agreements and securities lending as at the balance sheet date (31 December 2014: None).

Securities sold under repurchase agreements ("repo") are recorded on the balance sheet in accordance with the Uniform Chart of Accounts. Government bonds and treasury bills that are sold to customers under repurchase agreement are classified under "Securities subject to repurchase agreements" and they are either recognized at fair value or amortized cost with internal rate of return according to the holding intention within the Branch portfolio. Funds received under repurchase agreements are reflected as a separate item in the liabilities and respective interest is accrued for.

Reverse repo transactions are recognized under the "Receivables from Reverse Repo Transactions" account. Income accrual is calculated using the internal rate of return method for the difference between the purchase and resale prices determined by the reverse repo agreements for the period.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as at 31 December 2015 and 31 December 2014.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lives, in 3 years, on a straight-line basis. At the balance sheet date TL 186 thousand of amortization expense (31 December 2014: TL 213 thousand).

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2015 and 31 December 2014.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2015 and 31 December 2014.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% (2014: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2015 and 31 December 2014.

XX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS:

Avalized drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2015 and 31 December 2014.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned.

	31 December 2015	31 December 2014
Distributable Net Profit to Ordinary Shares	11.431	6.970
Weighted Average Number of Issued Ordinary Shares (Thousand)	156.914	156.914
Earnings Per Share (Disclosed in full TL for nominal shares)	0,07285	0,04442

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. For the purpose of earnings per share computations, the weighted average number of shares outstanding during the year has been adjusted in respect of bonus shares issued without a corresponding change in resources by giving them a retroactive effect for the year in which they were issued and for each earlier period.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2015 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other^(*)	Total operations of the Branch
31 December 2015					
Interest Income	16	3.239	16.699	-	19.954
Net Fees and Commissions Income	-	817	-	-	817
Other Operating Income and Trading Income/(Loss) (Net)	-	3.227	-	-	3.227
Operating Revenue	16	7.283	16.699	-	23.998
Interest Expense	(43)	(336)	(37)	-	(416)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.168)	(6.425)	(1.752)	-	(9.345)
Operating Expense	(1.211)	(6.761)	(1.789)	-	(9.761)
Operating Profit	(1.195)	522	14.910	-	14.237
Profit Before Tax	-	-	-	14.237	14.237
Corporate Tax	-	-	-	(2.806)	(2.806)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	11.431	11.431
Segment Assets^(*)	5.874	4.582	319.663	10.369	340.488
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	5.874	4.582	319.663	10.369	340.488
Segment Liabilities^(*)	5.359	26.626	94.073	6.429	132.487
Shareholders' Equity	-	-	-	208.001	208.001
Total Liabilities	5.359	26.626	94.073	214.430	340.488

(*) "Segment Assets" in "Other" column amounting to TL 10.369 include tangible assets amounting to TL : 8.480, intangible assets amounting to TL 73, tax assets amounting to TL 724 and other assets amounting to TL 1.092; "Segment Liabilities" in the "Other" column amounting to TL 6.429 include other liabilities amounting to TL 1.296, provisions amounting to TL 4.366 and tax liability amounting to TL 767.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2014					
Interest Income	22	1.849	13.509	-	15.380
Net Fees and Commissions Income	-	1.543	-	-	1.543
Other Operating Income and Trading Income/(Loss) (Net)	-	1.422	-	-	1.422
Operating Revenue	22	4.814	13.509	-	18.345
Interest Expense	(198)	(53)	-	-	(251)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.170)	(6.238)	(1.949)	-	(9.357)
Operating Expense	(1.368)	(6.291)	(1.949)	-	(9.608)
Operating Profit	(1.346)	(1.477)	11.560	-	8.737
Profit Before Tax	-	-	-	8.737	8.737
Corporate Tax	-	-	-	(1.767)	(1.767)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	6.970	6.970
Segment Assets (*)	6.699	4.176	304.402	11.042	326.319
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	6.699	4.176	304.402	11.042	326.319
Segment Liabilities(*)	4.040	39.736	79.187	5.421	128.384
Shareholders' Equity	-	-	-	197.935	197.935
Total Liabilities	4.040	39.736	79.187	203.356	326.319

(*) "Segment Assets" in "Other" column amounting to TL 11.042 include tangible assets amounting to TL 8.257, intangible assets amounting to TL 169, tax assets amounting to TL 595 and other assets amounting to TL 2.021; "Segment Liabilities" in the "Other" column amounting to TL 5.421 include other liabilities amounting to TL 1.096, provisions amounting to TL 3.599 and tax liability amounting to TL 726.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2014 financial statements in order to be in conformity with the financial statements as of 31 December 2015.

XXVIII. OTHER INFORMATION

None.

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO:

The capital adequacy ratio of the Branch is 95,61% (31 December 2014: 80,04%)

Capital adequacy ratio is calculated within the scope of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (the "Regulation")", "Communiqué on Credit Risk Mitigation Techniques" and "Communiqué on Calculation of Risk Weighted Amounts for Securitizations" published in the Official Gazette No: 28337 dated 28 June 2012 and the "Communiqué on Equities of Banks" published in the Official Gazette No: 28756 dated 5 September 2013.

In the calculation of capital adequacy ratio, the data prepared from accounting records in compliance with the current legislation are used. Such accounting data is included in the calculation of credit and market risks subsequent to their designation as "trading book" and "banking book" according to the Regulation.

The items classified as trading book and the items deducted from the equity are not included in the calculation of credit risk. In the calculation of risk weighted assets, the assets subject to amortisation or impairment, are taken into account on a net basis after being reduced by the related amortisations and provisions.

In the calculation of the value at credit risk for the non-cash loans and commitments and the receivables from counterparties in such transactions are weighted after netting with specific provisions that are classified under liabilities and calculated based on the "Regulation on Identification of and Provision against Non-Performing Loans and Other Receivables". The net amounts are then multiplied by the rates stated in the Article 5 of the Regulation, reduced as per the "Regulation on Credit Risk Mitigation Techniques" and then included in the relevant exposure category defined in the article 6 of the Regulation and weighted as per Appendix-1 of the Regulation.

There is no the derivative financial instruments and the credit derivatives between the banking accounts.

As per the article 5 of the Regulation, the "counterparty credit risk" is calculated for repurchase transactions, securities and commodities borrowing agreements.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio:

31 December 2015	Risk Weights								
	0%	10%	20%	50%	75%	100%	150%	200%	1250 %
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	156.447	-	-	-	-	11.114	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	5.512	-	-	116.130	-	-	-
Conditional and unconditional receivables from corporates	442	-	-	-	-	5.751	-	-	-
Conditional and unconditional retail receivables	352	-	-	-	-	1.342	230	39	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	4.690	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	32.650	-	-	-	-	10.296	-	-	-

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I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio (Continued):

31 December 2014	Risk Weights								
	0%	10%	20%	50%	75%	100%	150%	200%	1250 %
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	150.241	-	-	-	-	12.786	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	10.054	1.067	-	100.594	-	-	-
Conditional and unconditional receivables from corporates	933	-	-	-	-	9.015	-	-	-
Conditional and unconditional retail receivables	1.530	-	-	-	-	265	112	43	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	4.889	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	32.089	-	-	-	-	9.835	-	-	-

Summary of the capital adequacy standard ratio:

	31 December 2015 (*)	31 December 2014
Capital Requirement for Credit Risk (Amount Subject to Credit Risk *0.08) (CRCR)	12.063	11.215
Capital Requirement for Market Risk (MRCR)	1.742	1.342
Capital Requirement for Operational Risk (ORCR)	3.745	7.386
Shareholders' Equity	209.814	199.518
Shareholders' Equity / ((CRCR + MRCR + ORCR) *12.5) *100	95,61	80,04
Total Tier Capital I / ((CRCR + MRCR + ORCR) *12.5) *100	94,75	79,33
Common Equity Tier Capital I / ((CRCR + MRCR + ORCR) *12.5) *100	94,78	79,39

(*) Starting from 1 January 2014, the Branch's total capital and capital adequacy ratio are calculated within the scope of the "Regulation on Equities of Banks" published in the official gazette no. 28756 dated 5 September 2013. Prior period's calculations have been realized according to the repealed regulations.

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I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items:

	Current Period
Common Equity Tier I Capital	207.972
Paid-in Capital to be Entitled for Compensation after All Creditors	156.914
Share Premium	-
Share Cancellation Profits	-
Reserves	1.352
Other Comprehensive Income according to TAS	-
Profit	50.825
Current Period Profit	11.431
Prior Period Profit	39.394
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	-
Deductions From Common Equity Tier I Capital	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(1.090)
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	(29)
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	-
Total Common Equity Tier I Capital	207.972
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	-
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

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I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

Deductions from Tier I Capital	(44)
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(44)
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Total Tier I Capital	207.928
General Provisions	1.886
Tier II Capital before Deductions	1.886
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	1.886
CAPITAL BEFORE DEDUCTIONS	209.814
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	209.814
Amounts lower than Excesses as per Deduction Rules	
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

	Prior Period
Common Equity Tier I Capital	197.901
Paid-in Capital to be Entitled for Compensation after All Creditors	156.914
Share Premium	-
Share Cancellation Profits	-
Reserves	1.307
Other Comprehensive Income according to TAS	275
Profit	39.439
Current Period Profit	6.970
Prior Period Profit	32.469
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	-
Deductions From Common Equity Tier I Capital	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	-
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	(34)
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	-
Total Common Equity Tier I Capital	197.901
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	-
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

Deductions from Tier I Capital	(135)
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(135)
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Total Tier I Capital	197.766
General Provisions	1.752
Tier II Capital before Deductions	1.752
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	1.752
CAPITAL BEFORE DEDUCTIONS	199.518
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	199.518
Amounts lower than Excesses as per Deduction Rules	
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

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I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Branch, according to the approved "Risk Management Policies and Implementation Procedures" on 27 November 2012, has prepared the document of "Internal Capital Assessment Process". It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2014 "2015 Internal Capital Requirement Analysis" March 30, 2015, No. 13 was accepted by the Council of Directors.

It has been examined activity of the Department of Analysis and services it offers, activity of the Department of Analysis and services it offers, that may be incurred due to their major and minor risk factors, the current legal capital requirements, the developments in 2014 and in 2015, 2016 and estimates and expectations regarding 2017 operating period by the BRSA the scenarios in "2015 Internal Capital Requirement Analysis". Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. It has been considered credit risk (in general, country), market risk (interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK:

- a. Credit risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to banks with high credibility rate and other financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased in 2014 and 2015.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department.

- b. At 31 December 2014, the Branch has no forward and option contracts or any other similar agreements.
- c. At 31 December 2014, the Branch has been faced with an insignificant amount of credit risk exposure.
- d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

- e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.
- f. The Branch is not active in international banking market.
- g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2014: 100%).
2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2014: 100%).
3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 2,97% (31 December 2014: 4,14%).
- h. The general loan loss provision amount provided for credit risk is TL 2.287 thousand (31 December 2014: TL 1.992 thousand).

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

The Branch has not any internal rating model in order to evaluate during the loan application and assessment after granting loan.

Exposure Categories	Current Period Risk Amount(*)	Current Period Average Risk Amount(**)	Prior Period Risk Amount(*)	Prior Period Average Risk Amount(**)
Conditional and unconditional receivables from central governments or central banks	167.561	157.894	163.027	157.516
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	121.642	90.799	111.715	89.971
Conditional and unconditional receivables from corporates	6.193	20.244	9.948	20.557
Conditional and unconditional retail receivables	1.963	866	1.950	1.963
Conditional and unconditional receivables secured by mortgages	-	-	-	-
Past due receivables	4.690	5.563	4.889	5.580
Receivables defined in high risk category by BRSA	-	12	-	12
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	42.946	40.798	41.924	40.713

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

31 December 2015	Exposure Categories (*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16 Toplam
Current Period																
1. Domestic	167.550	-	-	-	-	60.124	6.193	1.742	-	4.690	-	-	-	-	-	283.245
2. European Union(EU)	-	-	-	-	-	327	-	-	-	-	-	-	-	-	-	327
3. OECD Countries(**)	-	-	-	-	-	24	-	-	-	-	-	-	-	-	-	24
4. OffShore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	11	-	-	-	-	61.167	-	221	-	-	-	-	-	-	-	61.399
7. Associates, Subsidiaries and Joint -Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	167.561	-	-	-	-	121.642	6.193	1.963	-	4.690	-	-	-	-	-	344.995

31 December 2014	Exposure Categories (*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16 Toplam
Prior Period																
1. Domestic	163.005	-	-	-	-	57.895	9.946	1.950	-	4.889	-	-	-	-	-	279.609
2. European Union(EU)	-	-	-	-	-	292	-	-	-	-	-	-	-	-	-	292
3. OECD Countries(**)	-	-	-	-	-	21	-	-	-	-	-	-	-	-	-	21
4. OffShore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	22	-	-	-	-	53.507	2	-	-	-	-	-	-	-	-	53.531
7. Associates, Subsidiaries and Joint -Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	163.027	-	-	-	-	111.715	9.948	1.950	-	4.889	-	-	-	-	-	333.433

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Includes OECD countries other than EU countries, USA and Canada

(***) Includes asset and liability items that cannot be allocated on a consistent basis.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securitized collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

Current Period	Exposure Categories(*)															
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
Agriculture																
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245
Manufacturing																
Mining and Quarrying	-	-	-	-	-	-	2,716	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	2,716	-	-	-	-	-	-	-	-	2,916
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction																
Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2,916
Wholesale and Retail Trade	-	-	-	-	-	-	1,941	-	-	-	-	-	-	-	-	-
Accommodation and Dining	-	-	-	-	-	60,122	1,536	-	4,690	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	1,500	-	-	-	-	-	-	-	-	6,631
Financial Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	54,294
Real Estate and Rental Services	-	-	-	-	-	-	36	-	-	-	-	-	-	-	-	798
Professional Services	-	-	-	-	-	60,122	-	-	-	-	-	-	-	-	-	2,298
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	167,561	-	-	-	-	61,520	-	1,963	-	-	-	-	-	-	-	-
Total	167,561	-	-	-	-	121,642	6,193	1,963	-	4,690	-	-	-	-	-	41,703
																202,789
																219,107
																69,958
																125,888
																272,747
																344,995

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 5- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 6- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 7- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 8- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 9- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties (Continued) :

Prior Period	Exposure Categories(*)																		
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	TP	YP	Toplam
Agriculture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1.714	-	-	-	-	-	-	-	-	-	1.714	-	1.714
Mining and Quarrying	-	-	-	-	-	-	1.714	-	-	-	-	-	-	-	-	-	1.714	-	1.714
Production	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	4.594	-	-	4.889	-	-	-	-	-	-	-	-	-
Services	-	-	-	-	-	45.296	3.000	668	-	-	-	-	-	-	-	-	9.142	341	9.483
Wholesale and Retail Trade	-	-	-	-	-	-	3.000	668	-	-	-	-	-	-	-	-	3.000	45.780	48.964
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	668	6.668
Transportation and Telecom.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Financial Institutions	-	-	-	-	-	45.296	-	-	-	-	-	-	-	-	-	-	-	-	-
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	184	45.112	45.296
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	163.027	-	-	-	-	66.419	640	1.282	-	-	-	-	-	-	-	-	196.137	77.155	273.292
Total	163.027	-	-	-	-	111.715	9.948	1.950	-	4.889	-	-	-	-	-	41.924	210.177	123.276	333.453

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

- 1- Conditional and unconditional receivables from central governments or central banks
- 2- Conditional and unconditional receivables from regional or local governments
- 3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
- 4- Conditional and unconditional receivables from multilateral development banks
- 5- Conditional and unconditional receivables from international organizations
- 6- Conditional and unconditional receivables from banks and brokerage houses
- 7- Conditional and unconditional receivables from corporates
- 8- Conditional and unconditional retail receivables
- 9- Conditional and unconditional receivables secured by mortgages
- 10- Past due receivables
- 11- Receivables defined in high risk category by BRSA
- 12- Securities collateralized by mortgages
- 13- Securitization positions
- 14- Short-term receivables from banks, brokerage houses and corporates
- 15- Investments similar to collective investment funds
- 16- Other receivables

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II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

31 December 2015	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	17.574	20.021	21.278	87.054	7.847
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	8.861	54.625	-	-	-
Conditional and unconditional receivables from corporates	152	651	213	1.325	2.338
Conditional and unconditional retail receivables	246	62	977	153	309
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	26.833	75.359	22.468	88.532	10.494

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities (Continued):

31 December 2014	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	13.217	19.034	12.259	58.094	33.039
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	29.558	7.047	1.067	-	-
Conditional and unconditional receivables from corporates	349	1.085	417	2.266	2.216
Conditional and unconditional retail receivables	378	898	33	86	352
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	43.502	28.064	13.776	60.446	35.607

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II. EXPLANATIONS ON CREDIT RISK (Continued)

I. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	189.097	-	5.512	-	-	150.117	230	39	-	-
Exposures after Credit Risk Mitigation	189.891	-	5.512	-	-	149.323	230	39	-	-

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue upto 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

31 December 2015	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	7.356	-	-	3.081
Services	-	-	-	-
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	257	-	-	75
Total	7.613	-	-	3.156

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties: (Continued)

31 December 2014	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	7.367	-	-	2.981
Services	198	-	-	63
Wholesale and Retail Trade	198	-	-	63
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	257	-	-	75
Total	7.822	-	-	3.119

(*)The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

o. Movements in value adjustments and provisions:

	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
31 December 2015					
Specific Provisions	3.119	100	(63)	-	3.156
General Provisions	1.992	72	(95)	318	2.287

	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
31 December 2014					
Specific Provisions	2.041	1.078	-	-	3.119
General Provisions	2.317	77	(402)	-	1.992

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

III. EXPLANATIONS ON MARKET RISK:

The Branch defines the market risk as the fluctuations in its portfolio value with the changes in the parameters such as market prices, interest rate, currency rates and prices of common stocks.

The Bank has established market risk operations and has taken the necessary measures in order to hedge market risk within its financial risk management purposes, in accordance with the regulation that is published in the Official Gazette No: 28337 dated 28 June 2012 regulation on "Banks' Internal Control and Risk Management Systems" and the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Trading activities in behalf of itself, trading securities and commodity lendings and derivative transactions are not used by the Branch.

Effect of TL interest rates fluctuations caused by the available for sales portfolio are assessed via duration method.

The Branch is exposed to the currency risk as the component of market risk. In principle board of managers are responsible for determine rules and limits for foreign currency position direction, amount and components, however this authority have been transferred to the Risk Committee. The Risk Committee is assessed the Turkey and global economic developments and if necessary the rules and the limits related to the foreign currency position are changed by the Risk Committee.

The parts of market risk is closely monitored by the board of managers as per the approved limits.

a. Information related to market risk:

	<i>31 December 2015</i>	<i>31 December 2014</i>
(I) Capital Obligation against General Market Risk - Standard Method	-	-
(II) Capital Obligation against Specific Risk - Standard Method	-	-
Capital Requirement against Specific Risks of Securitization Positions- Standard Method	-	-
(III) Capital Obligation against Currency Risk - Standard Method	1.742	1.342
(IV) Capital Obligation against Commodity Risk - Standard Method	-	-
(V) Capital Obligation against Settlement Risk - Standard Method	-	-
(VI) Total Capital Obligation against Market Risks of Options - Standard	-	-
(VII) Capital Requirement against Counterparty Credit Risks - Standard Method	-	-
(VIII) Total Capital Obligation against Market Risks of Banks applying Risk Measurement Models	-	-
(IX) Total Capital Obligation against Market Risk (I+II+III+IV+V+VI+VII)	1.742	1.342
(X) Value-At-Market Risk (12.5 x VIII) or (12.5 x IX)	21.775	16.775

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III. EXPLANATIONS ON MARKET RISK (Continued):

b. Market risk table of calculated market risk during the month ends

	<i>31 December 2015</i>		
	Average	Maximum	Minimum
Interest Rate Risk	-	-	-
Share Certificates Risk	-	-	-
Currency Risk	1.513	1.742	1.307
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to Risk	1.513	1.742	1.307

	<i>31 December 2014</i>		
	Average	Maximum	Minimum
Interest Rate Risk	-	-	-
Share Certificates Risk	-	-	-
Currency Risk	1.544	1.622	1.342
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to Risk	1.544	1.622	1.342

c. Quantitative information on counterparty risk

	Amount
Interest-Rate Contracts	-
Foreign-Exchange-Rate Contracts	-
Commodity Contracts	-
Equity-Shares Related Contracts	-
Other	-
Gross Positive Fair Values	-
Netting Benefits	-
Net Current Exposure Amount	-
Collaterals Received	-
Net Derivative Position	-

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IV. EXPLANATIONS ON OPERATIONAL RISK:

The value at operational risk is calculated according to the basic indicator approach as per the Article 14 of "Regulation regarding Measurement and Assessment of Capital Adequacy Ratios of Banks".

The annual gross income is composed of net interest income and net non-interest income after deducting realised gains/losses from the sale of securities available-for-sale and held-to-maturity, extraordinary income and income derived from insurance claims at year-end.

Current Period

Basic Indicator Approach	31.12.2012	31.12.2013	31.12.2014	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	41.203	18.149	15.552	24.968	15	3.745
Value at Operational Risk (Total*12.5)						46.815

Prior Period

Basic Indicator Approach	31.12.2011	31.12.2012	31.12.2013	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	88.376	41.203	18.149	49.243	15	7.386
Value at Operational Risk (Total*12.5)						92.330

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V. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
As of 31 December 2015	2,9181	3,1838	2,41800	0,79518
As of 30 December 2015	2,9084	3,1921	2,40980	0,79254
As of 29 December 2015	2,9157	3,2006	2,41330	0,79455
As of 26 December 2015	2,9123	3,1904	2,41460	0,79358
As of 25 December 2015	2,9187	3,1968	2,41890	0,79530

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	TL 2,9158
Euro:	TL 3,1660
100 Japanese Yen:	TL 2,3878
A.E.D:	TL 0,79455

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V. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2015				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	11.185	30.413	159	41.757
Banks	27.929	53.792	110	81.831
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	1.423	-	-	1.423
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	13	422	-	435
Total Assets	40.550	84.627	269	125.446
Liabilities				
Bank Deposits	13.751	67.560	40	81.351
Foreign Currency Deposits	17.496	4.034	406	21.936
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	443	123	-	566
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	6	5	-	11
Total Liabilities	31.696	71.722	446	103.864
Net On-Balance Sheet Position	8.854	12.905	(177)	21.582
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	606	276	-	882
31 December 2014				
Total Assets	65.860	55.121	1.175	122.156
Total Liabilities	57.902	46.859	862	105.623
Net On-Balance Sheet Position	7.958	8.262	313	16.533
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	2.133	283	-	2.416

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. As of 31 December 2015, the Branch has no foreign currency indexed loans (December 31, 2014: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.824 thousand (31 December 2014: TL 1.445 thousand) has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 19

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VI. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2015	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	28.428	-	-	-	-	15.817	44.245
Banks	6.383	52.190	-	-	-	57.428	116.001
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	7.201	-	-	-	-	-	7.201
Available-for-Sale Financial Assets	12.851	22.459	108.332	7.847	-	727	152.216
Loans and Receivables	373	892	2.126	2.608	-	4.457	10.456
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	56	-	-	-	-	10.313	10.369
Total Assets	55.292	75.541	110.458	10.455	-	88.742	340.488
Liabilities							
Bank Deposits	9.978	20.428	-	-	-	63.667	94.073
Other Deposits	2.612	1.325	1.623	-	-	25.446	31.006
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	979	979
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	444	-	32	-	-	213.954	214.430
Total Liabilities	13.034	21.753	1.655	-	-	304.046	340.488
Balance Sheet Long Position	42.258	53.788	108.803	10.455	-	-	215.304
Balance Sheet Short Position	-	-	-	-	-	(215.304)	(215.304)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	42.258	53.788	108.803	10.455	-	(215.304)	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2014	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	1.767	-	-	-	-	55.304	57.071
Banks	26.046	-	-	-	-	73.072	99.118
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	6.001	-	-	-	-	-	6.001
Available-for-Sale Financial Assets	9.697	26.080	72.429	33.039	-	967	142.212
Loans and Receivables	354	2	4.139	1.677	-	4.703	10.875
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	1.031	-	-	-	-	10.011	11.042
Total Assets	44.896	26.082	76.568	34.716	-	144.057	326.319
Liabilities							
Bank Deposits	9.929	-	-	-	-	74.816	84.745
Other Deposits	997	11.139	1.578	-	-	21.996	35.710
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	2.508	2.508
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ⁽²⁾	441	-	29	-	-	202.886	203.356
Total Liabilities	11.367	11.139	1.607	-	-	302.206	326.319
Balance Sheet Long Position	33.529	14.943	74.961	34.716	-	-	158.149
Balance Sheet Short Position	-	-	-	-	-	(158.149)	(158.149)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	33.529	14.943	74.961	34.716	-	(158.149)	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2015	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	0,28	-	5,01
Banks and Other Institutions	3,00	-	-	8,69
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	7,30
Available-for-Sale Financial Assets	-	-	-	9,16
Loans and Receivables	9,00	-	-	16,82
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,53	-	4,31
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2014	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	1,37
Banks and Other Institutions	-	-	-	8,30
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	7,52
Available-for-Sale Financial Assets	-	-	-	5,32
Loans and Receivables	-	-	-	14,75
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	1,40	0,58	-	4,01
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

The interest rate risk resulting from the banking book is measured legally as per the "Regulation on Measurement and Evaluation of Interest Rate Risk Resulting from Banking Book as per Standard Shock Method". Economic value differences arising from interest rate fluctuations table is prepared in accordance with "Standard Shock Method" and presented as below

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VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Economic value differences resulted from interest rate instabilities calculated according to Regulation on Measurement and Evaluation of Interest Rate Risk Resulted from Banking Book as per Standard Shock Method is as follows:

31 December 2015			
Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity- Losses/Equity
1. TL	(+) 500	(3.718)	%(1,77)
	(-) 400	3.198	%1,52
2. USD	(+) 200	44	%0,02094
	(-) 200	(5)	%0,00
3. EUR	(+) 200	(9)	%(0,004)
	(-) 200	1	%0,00
Total (of negative shocks)		3.194	%1,52
Total (of positive shocks)		(3.683)	%(1,76)

31 December 2014			
Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity- Losses/Equity
1. TL	(+) 500	(4.528)	%(2,27)
	(-) 400	3.934	%1,97
2. USD	(+) 200	4	%0,00212
	(-) 200	-	%0,00
3. EUR	(+) 200	37	%0,018
	(-) 200	-	%0,00
Total (of negative shocks)		3.934	%1,97
Total (of positive shocks)		(4.487)	%(2,25)

Position risk of equity shares on banking book

- a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

None.

- b) Comparison of carrying, fair and market values of equity shares:

31 December 2015

Equities	Comparison		
	Carrying Value	Fair Value	Market Value
1) Securities Available for Sale	727	727	-
Quoted on Stock Exchange	727	727	-
2) Associates	-	-	-
Quoted on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Quoted on Stock Exchange	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2014

Equities	Comparison		
	Carrying Value	Fair Value	Market Value
1) Securities Available for Sale	967	967	-
Quoted on Stock Exchange	967	967	-
2) Associates	-	-	-
Quoted on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Quoted on Stock Exchange	-	-	-

c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

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VII. EXPLANATIONS ON LIQUIDITY RISK:

Liquidity risk arises from the mismatching of maturities of assets and liabilities. The Branch balances the maturities of the related assets and liabilities, keeps the mismatch of maturities under control. Major objective of the Branch's asset and liability management is to ensure that sufficient liquidity is available to meet the Branch's commitments to customers and to satisfy the Branch's own liquidity needs.

The most important funding resources of the Branch for long-term and short-term liquidity needs are the headquarters and other banks.

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (1)	Total
31 December 2015								
Assets								
Cash and the Central Bank of the Republic of Turkey	15.859	28.386	-	-	-	-	-	44.245
Banks	57.428	6.383	52.190	-	-	-	-	116.001
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	7.201	-	-	-	-	-	7.201
Available-for-sale Financial Assets	-	12.851	22.459	108.332	7.847	-	727	152.216
Loans and Receivables	-	373	892	2.126	2.608	-	4.457	10.456
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets (1)	56	-	-	119	-	-	10.194	10.369
Total Assets	73.343	55.194	75.541	110.577	10.455	-	15.378	340.488
Liabilities								
Bank Deposits	63.667	9.978	20.428	-	-	-	-	94.073
Other Deposits	25.446	2.612	1.325	1.623	-	-	-	31.006
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	979	-	-	-	-	-	-	979
Other Liabilities (2)	-	444	-	32	-	-	213.954	214.430
Total Liabilities	90.092	13.034	21.753	1.655	-	-	213.954	340.488
Net Liquidity Gap	(16.749)	42.160	53.788	108.922	10.455	-	(198.576)	-
31 December 2014								
Total Assets	106.266	67.091	26.082	76.659	34.716	-	15.505	326.319
Total Liabilities	109.249	1.438	11.139	1.607	-	-	202.886	326.319
Net Liquidity Gap	(2.983)	65.653	14.943	75.052	34.716	-	(187.381)	-

(1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, investments, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Un allocated" column.

Securitization Positions

None.

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Credit Risk Mitigation Techniques

The Bank applies simple financial collateral method based on the Article 19 of the Communiqué on financial collateral that includes the effects of risk mitigation calculations at fair value in compliance with the Article 33 of the "Regulation on Credit Risk Mitigation Techniques".

For mitigating the credit risk, only cash and cash equivalents are used.

In cases, where there are maturity mismatches resulting from shorter remaining life of collateral than of receivables, the value of collateral is considered as the volatility-adjusted value.

Exposure Categories (31 December 2015)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	167.561	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	121.642	-	-	-
Conditional and unconditional receivables from Corporates	6.193	442	4.869	-
Conditional and unconditional retail receivables	1.963	352	430	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	4.690	-	4.690	-
Receivables defined in high risk category by BRSA	-	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	42.946	-	-	-

(*)The mortgages used for the determination of the risk categories as per the article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks", are excluded.

(**) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Credit Risk Mitigation Techniques (Continued)

Exposure Categories (31 December 2014)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	163.027	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	111.715	-	-	-
Conditional and unconditional receivables from Corporates	9.948	933	9.650	-
Conditional and unconditional retail receivables	1.950	1.530	100	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	4.889	-	4.889	-
Receivables defined in high risk category by BRSA	-	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	41.924	-	-	-

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VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Explanations on risk management objectives and policies

Risk is defined as a possibility of reduction in economic benefit in case of emerging a monetary loss related to a process or activity occurring an expense or loss.

The Bank is exposed to some risks due to perform activities in order to achieve its targets. Purpose of the risk management is to ensure that identification, measurement, reporting, monitoring, controlling of the risks exposed, in line with determined application procedures and the limits, and internal capital requirements consistent with the adopted risk profile within this context.

While risk management policies and procedures are determining, matters which are written below are considered.

- The bank's vision, mission, strategy and aims
- The bank's products and activities which has priority and weight, and their volume and property,
- The bank's organizational structure and human resources,
- Past events and experiences related to risks which will be exposed,
- The scope and quality of the data base for the risk management,
- The adequacy of the bank's technology and its contribution level of risk monitoring and management activities,
- Internal capital requirement and the actual capital levels and the level of risk consistent with these,

Risk management policies and procedures are determined and improved by considering bank's size, scope and complexity of activities and variety of used product, etc. When considered from this point of view, credit risk management is highly important.

Breakdown of financial liabilities according to their remaining contractual maturities:

31 December 2015	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	101.738	21.761	1.628	-	-	125.127
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	101.738	21.761	1.628	-	-	125.127

31 December 2014	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	107.738	13.548	1.578	-	-	122.864
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	107.738	13.548	1.578	-	-	122.864

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. Explanations on consolidated liquidity risk (continued)

Leverage ratio

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below:

On-balance sheet assets		Current Period(*)
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	339.222
2	(Assets deducted in determining Tier 1 capital)	(77)
3	Total on-balance sheet risks (sum of lines 1 and 2)	339.145
Derivative financial instruments and credit derivatives		-
4	Replacement cost associated with all derivative instruments and credit derivatives	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-
Securities or commodity financing transactions (SCFT)		-
7	Risks from SCFT assets (Excluding balance sheet items)	-
8	Risks from brokerage activities related exposures	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-
Other off-balance sheet transactions		-
10	Gross notional amounts of off-balance sheet transactions	4.690
11	(Adjustments for conversion to credit equivalent amounts)	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	4.690
Capital and total risks		
13	Tier 1 capital	207.267
14	Total risk amount (3, 6, 9 and 12 th line totals)	343.835
Leverage ratio		
15	Leverage ratio	60,28

(*) Amounts in the table are three-month average amounts.

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VII. Explanations on consolidated liquidity risk (continued)

Liquidity Coverage Ratio

<i>Current Period</i>		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets				183.006	33.969
1	Total high-quality liquid assets (HQLA)	191.343	41.942	183.006	33.969
Cash Outflows					
2	Retail deposits and deposits from small business customers, of which:	4.370	4.410	306	296
3	Stable deposits	2.620	2.420	131	121
4	Less stable deposits	1.750	1.990	175	175
5	Unsecured wholesale funding, of which:	111.679	99.666	92.960	86.515
6	Operational deposits	1.020	1.012	255	253
7	Non-operational deposits	29.923	20.653	11.969	8.261
8	Unsecured funding	80.736	78.001	80.736	78.001
9	Secured wholesale funding				
10	Other cash outflows of which	0	0	0	0
11	Outflows related to derivative exposures and other collateral requirements				
12	Outflows related to restructured financial instruments				
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets				
14	Other revocable off-balance sheet commitments and contractual obligations				
15	Other irrevocable or conditionally revocable off-balance sheet obligations	4.600	790	553	171
16	Total Cash Outflows			93.819	86.982
Cash Inflows					
17	Secured receivables				
18	Unsecured receivables				
19	Other cash inflows	93.744	75.190	93.744	75.190
20	Total Cash Inflows	93.744	75.190	93.744	75.190
21	Total HQLA			183.006	33.969
22	Total Net Cash Outflows			23.799	22.109
23	Liquidity Coverage Ratio (%)			774.77	153.59

(*) The average of last three months' liquidity coverage ratio calculated by monthly and weekly simple averages.

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INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. Explanations on consolidated liquidity risk (continued)

The table below presents highest, lowest and average liquidity coverage ratios of the year 2015:

	Highest	Date	Lowest	Date	Average
TL+FC	929,40	02.01.2015	189,26	23.12.2015	824,56
FC	257,03	18.03.2015	122,38	11.09.2015	194,53

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES:

The expected fair value of the demand deposits represents the amount to be paid upon request. The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates.

The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates. For the loans with floating interest rates, it is assumed that the carrying value reflects the fair value.

The following table summarises the carrying values and fair values of some financial assets and liabilities of the Branch. The carrying value represents the acquisition costs and accumulated interest accruals of corresponding financial assets or liabilities.

	Carrying Value		Fair Value	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Financial Assets	285.874	258.206	286.234	258.292
Money Markets	7.201	6.001	7.201	6.001
Banks	116.001	99.118	116.001	99.118
Available-for-sale Financial Assets	152.216	142.212	152.216	142.212
Loans and Receivables	10.456	10.875	10.816	10.961
Financial Liabilities	126.058	122.963	126.058	122.963
Bank Deposits	94.073	84.745	94.073	84.745
Other Deposits	31.006	35.710	31.006	35.710
Funds Borrowed	-	-	-	-
Sundry Creditors	979	2.508	979	2.508

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES (Continued):

TFRS 7, "Financial Instruments: Disclosures", requires classification of line items at fair value presented at financial statements according to the defined levels. These levels depend on the observability of data used during fair value calculations. Classification for fair value is as follows:

Level 1: Assets or liabilities with prices recorded (unadjusted) in active markets

Level 2: Assets or liabilities that are excluded in the Level 1 of recorded prices directly observable by prices or indirectly observable derived through prices observable from similar assets or liabilities

Level 3: Assets and liabilities where no observable market data can be used for valuation

According to these classification principles stated, the Group's classification of financial assets and liabilities carried at their fair value are as follows:

31 December 2015	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or (Loss) (Net)				
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	152.216	-	-	152.216
Public Debt Securities	146.573	-	-	146.573
Other Marketable Securities(1)	5.643	-	-	5.643
Total Assets	152.216	-	-	152.216
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2014	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or (Loss) (Net)				
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	142.212	-	-	142.212
Public Debt Securities	130.650	-	-	130.650
Other Marketable Securities(1)	11.562	-	-	11.562
Total Assets	142.212	-	-	142.212
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-

IX. EXPLANATIONS ON ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PARTIES AND FIDUCIARY ASSETS:

The Branch does not perform buying transactions on behalf of customers, and gives custody, administration and advisory services. The Branch does not deal with fiduciary transactions.

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Cash	1.708	14.109	1.283	30.806
The CBRT	780	27.648	1.839	23.143
Other	-	-	-	-
Total	2.488	41.757	3.122	53.949

2. Information related to the account of the CBRT:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Demand Unrestricted Account ⁽¹⁾	12	-	74	-
Time Unrestricted Account	-	11.084	-	-
Time Restricted Account	768	1.924	1.765	15.245
Reserve Requirement	-	14.640	-	7.898
Total	780	27.648	1.839	23.143

⁽¹⁾ The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2015, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 5% to 11,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 9% to 13% depending on the maturity of deposits. No interest payments have been made for the foreign currency required reserves. Besides, for required reserves of Turkish Lira, interest payments have begun as of November 2014.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2015, the Branch does not have any financial assets at fair value through profit or loss (31 December 2014: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Banks				
Domestic	210	54.270	184	45.112
Foreign	6	600	6	526
Head Quarters and Branches Abroad	33.954	26.961	32.106	21.184
Other Financial Institutions	-	-	-	-
Total	34.170	81.831	32.296	66.822

2. Information on foreign banks account::

	Unrestricted Amount		Restricted Amount	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
EU Countries	329	291	-	-
USA, Canada	-	-	-	-
OECD Countries ⁽¹⁾	24	21	-	-
Off-Shore Banking Regions	-	-	-	-
Other	253	220	-	-
Total	606	532	-	-

⁽¹⁾ OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

- As of 31 December 2015 there are no available for-sale-financial assets subject to repo transactions (31 December 2014: None).
- As of 31 December 2015 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2014: None).
- Information on available-for-sale financial assets:

	31 December 2015	31 December 2014
Debt Securities	151.602	141.245
Quoted on Stock Exchange	151.602	141.245
Not Quoted	-	-
Share Certificates	1.237	1.237
Quoted on Stock Exchange	1.237	1.237
Not Quoted	-	-
Impairment Provision (-)	(623)	(270)
Total	152.216	142.212

*Impairment Provisions for share certificates TL 510 thousands, TL 113 thousands impairment provision for debt securities.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2015		31 December 2014	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	259	-	192	-
Total	259	-	192	-

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2014)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	5.874	125	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	1.423	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	309	4	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	4.142	121	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	5.874	125	-	-	-	-

(*)Discount notes are included that the balance.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans: (Continued)

Cash Loans (31 December 2014)	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring			
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	4.834	1.338	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	221	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	4.613	1.338	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	4.834	1.338	-	-	-	-

(*)Discount notes are included that the balance.

Loans and other receivables with extended payment plans;

31 December 2015

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	125	-
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2014

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	1.338	-
3, 4 or 5 times	-	-
Over 5 times	-	-

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

Loans and other receivables with extended payment plans (continued):

31 December 2015

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	4	-
6 - 12 months	121	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

31 December 2014

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	-	-
6 - 12 months	1.338	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2015	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	1.913	-	-	-
Non-specialised Loans	1.913	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	4.086	-	-	-
Non-specialised Loans	4.086	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2014	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	581	-	-	-
Non-specialised Loans	581	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	5.591	-	-	-
Non-specialised Loans	5.591	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2015	Short-term	Long and medium term	Total
Consumer Loans - TL	11	43	54
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	11	43	54
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	259	259
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	259	259
Other	-	-	-
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	11	302	313

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

**4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards
(Continued):**

31 December 2014	Short-term	Long and medium term	Total
Consumer Loans - TL	-	29	29
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	29	29
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	11	181	192
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	7	7
Other	11	174	185
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	11	210	221

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2015			31 December 2014		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	128	2.511	2.639	350	3.893	4.243
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	128	2.511	2.639	-	-	-
Other	-	-	-	350	3.893	4.243
Commercial Loans with Installment Facility - FC Indexed	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility - FC	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards - TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Corporate Credit Cards - FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Overdraft Accounts - TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts - FC (Legal Entities)	-	-	-	-	-	-
Total	128	2.511	2.639	350	3.893	4.243

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (i) Information on loans by types and specific provisions:

31 December 2015	Corporate Loans	Consumer Loans	Total
Standart loans	5.686	313	5.999
Non-Performing loans	7.613	-	7.613
Specific Provisions (-)	(3.156)	-	(3.156)
Total	10.143	313	10.456

31 December 2014	Corporate Loans	Consumer Loans	Total
Standart loans	5.951	221	6.172
Non-Performing loans	7.822	-	7.822
Specific Provisions (-)	(3.119)	-	(3.119)
Total	10.654	221	10.875

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2015	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.457	-	4.457
Total	4.457	-	4.457

(*) Refers net amounts

31 December 2014	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.703	-	4.703
Total	4.703	-	4.703

(*) Refers net amounts

7. Loans according to type of borrowers::

	31 December 2015	31 December 2014
Public	-	-
Private	5.999	6.172
Total	5.999	6.172

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2015	31 December 2014
Domestic Loans	5.799	6.172
Foreign Loans	200	-
Total	5.999	6.172

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2014: None).

10. Specific provisions provided against loans:

	31 December 2015	31 December 2014
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	-
Uncollectible loans and other receivables	(3.156)	(3.119)
Total	(3.156)	(3.119)

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net):

11 (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11 (ii) Information on the movement of total non-performing loans:

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2014	-	-	7.822
Additions (+)	-	-	100
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(309)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2015	-	-	7.613
Specific provisions (-)	-	-	(3.156)
Net Balance on Balance Sheet	-	-	4.457

	III. Group Loans and Other Receivables with Limited Collectibility	IV. Group Loans and Other Receivables with Doubtful Collectibility	V. Group Uncollectible Loans and Other Receivables
31 December 2013	-	-	7.797
Additions (+)	-	-	25
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	-
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2014	-	-	7.822
Specific provisions (-)	-	-	(3.119)
Net Balance on Balance Sheet	-	-	4.703

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net) (Continued):

11 (iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11 (iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
31 December 2015 (Net)	-	-	4.457
Loans to real and legal persons (Gross)	-	-	7.613
Specific provisions (-)	-	-	(3.156)
Loans to real and legal persons (Net)	-	-	4.457
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2014 (Net)	-	-	4.703
Loans to real and legal persons (Gross)	-	-	7.822
Specific provisions (-)	-	-	(3.119)
Loans to real and legal persons (Net)	-	-	4.703
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

g. Information on held-to-maturity investments:

As of 31 December 2015 and 31 December 2014, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2015 and 31 December 2014, the Branch has no investments in associates.

i. Information on subsidiaries (Net):

As of 31 December 2015 and 31 December 2014, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2015 and 31 December 2014, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2014: None).

l. Explanations on hedging derivative instruments:

None (31 December 2014: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2015				
Cost	11.133	129	570	11.832
Accumulated depreciation	(2.966)	(86)	(300)	(3.352)
Net book value	8.167	43	270	8.480
31 December 2015				
Net book value at beginning of the year	7.962	69	226	8.257
Additions	379	-	160	539
Disposals, net	-	-	-	-
Transfers	-	-	-	-
Depreciation	(174)	(26)	(116)	(316)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	8.167	43	270	8.480
Cost at year end	11.133	129	570	11.832
Accumulated depreciation at year end	(2.966)	(86)	(300)	(3.352)
Closing net book value	8.167	43	270	8.480

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2015		
Cost	662	662
Accumulated depreciation	(493)	(493)
Net book value	169	169
31 December 2015		
Net book value at beginning of the year	169	169
Additions	90	90
Disposals, net	-	-
Transfers	-	-
Depreciation	(186)	(186)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	73	73
Cost at year end	145	145
Accumulated depreciation at year end	(72)	(72)
Closing net book value	73	73

o. Explanations on investment property:

None (31 December 2014: None).

p. Explanations on investment property:

The Branch has no fiscal loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 724 thousand (31 December 2014: TL 595 thousand) on net basis to deferred tax assets.

	31 December 2015		31 December 2014	
	Tax Base	Deferred Tax	Tax Base	Deferred Tax
Property, equipment and intangibles, net	1.075	215	1.159	232
Reserves for employment termination benefit	1.801	360	1.201	240
Court case provision	200	40	344	69
Shares	545	109	270	54
Total deferred tax asset	-	724	-	595
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	724	-	595

r. Explanations on assets held for resale:

None (December 2014: None).

s. Explanations on other assets:

Other assets amount to TL 1.092 thousand (31 December 2014: TL 2.021 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

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(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2015:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	58	-	-	-	-	89	147
Foreign Currency Deposits	17.223	194	2.690	487	-	1.342	21.936
Residents in Turkey	10.143	-	2.088	-	-	-	12.231
Residents Abroad	7.080	194	602	487	-	1.342	9.705
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	8.143	757	-	-	-	-	8.900
Other Institutions Deposits	23	-	-	-	-	-	23
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	63.667	-	30.406	-	-	-	94.073
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	63.667	-	30.406	-	-	-	94.073
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	89.114	951	33.096	487	-	1.431	125.079

(ii) 31 December 2014:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	71	4	-	-	-	3	78
Foreign Currency Deposits	19.375	169	2.809	488	-	9.509	32.350
Residents in Turkey	11.320	-	2.137	-	-	-	13.457
Residents Abroad	8.055	169	672	488	-	9.509	18.893
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	2.501	732	-	-	-	-	3.233
Other Institutions Deposits	48	-	-	-	-	-	48
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	84.746	-	-	-	-	-	84.746
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	84.746	-	-	-	-	-	84.746
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	106.741	905	2.809	488	-	9.512	120.455

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

a. Information on deposits (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Saving Deposits	145	77	2	1
Foreign Currency Saving Deposits	2.171	2.449	3.034	1.544
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2014: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2015	31 December 2014
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Directors, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	19	131
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2015 and 31 December 2014, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2015, the Branch has no borrowings (31 December 2014: None).

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

As of 31 December 2015, the Branch has no borrowings (31 December 2014: None).

d. Information on other liabilities:

Other liabilities amount to TL 1.296 thousand (31 December 2014: TL 1.096 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2015 and 31 December 2014, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2014: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2015	31 December 2014
General Loan Loss Provisions		
Loans and Receivables in Group I	776	724
- Additional Provision for Loans and Receivables with extended maturities	5	-
Loans and Receivables in Group II	-	-
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	89	84
Others	1.422	1.184
Total	2.287	1.992

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

	31 December 2015	31 December 2014
Discount rate (%)	2,84	3,78
Rate for the Probability of Retirement (%)	94,21	92,76

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 4.092,53 (1 January 2015: TL 3.541,37) effective from January 1, 2015 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2015	31 December 2014
Prior Period Ending Balance	887	882
Provisions Recognised During the Period	206	33
Actuarial loss	386	-
Paid During the Period (-)	(35)	(17)
Reversed During the Period (-)	-	(11)
Balance at the End of the Period	1.444	887

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 357 thousand as of 31 December 2015 (31 December 2014: TL 314 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2015, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2014: TL None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2015, the Branch has specific provision for non-cash loans amounting to TL 78 thousand (31 December 2014: TL 62 thousand).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2015 and 31 December 2014, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2015, the Branch had prudently provided a provision amounting to TL 200 (31 December 2014: TL 344 thousand, the remaining TL 62 thousand provision is provided for indemnified cash loans). The remaining provision amounting to TL 78 thousand is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2015	31 December 2014
Corporate Tax Payable	536	511
Taxation of Marketable Securities	-	1
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	37	18
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	8	8
Other	85	96
Total	668	636

(ii) Information on premium payables:

	31 December 2015	31 December 2014
Social Security Premiums – Employee	36	33
Social Security Premiums – Employer	56	50
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	2	2
Unemployment Insurance – Employer	5	5
Other	-	-
Total	99	90

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2014: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2014: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2015 and 31 December 2014.

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	156.914	156.914

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None (31 December 2014: None).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2014: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None (31 December 2014: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidity of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2014: None).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

1. Information on marketable securities value increase fund:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(781)	-	275	-
Foreign Currency Difference	-	-	-	-
Total	(781)	-	275	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2015, all commitments of the Branch are irrevocable. The commitments for cheques is TL 113 thousand (31 December 2014: TL 119 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2015	31 December 2014
Bank acceptance loans	-	-
Letters of credit	311	248
Other guarantees	-	-
Total	311	248

(ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2015	31 December 2014
Revocable letters of guarantee	44	1.251
Irrevocable letters of guarantee	893	2.212
Letters of guarantee given in advance	-	379
Guarantees given to customs	3.000	6.000
Other letters of guarantees	-	-
Total	3.937	9.842

3. (i) Total amount of non-cash loans:

	31 December 2015	31 December 2014
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	4.248	10.090
Total	4.248	10.090

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(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2015				31 December 2014			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	3.000	39,09	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	3.000	39,09	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	427	44,43	3.000	39,09	758	31,37
Services	3.002	91,33	513	53,38	1.233	16,07	1.639	67,84
Wholesale and Retail Trade	3.002	91,33	354	36,84	1.233	16,07	1.499	62,04
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	-	-	48	4,99	-	-	42	1,74
Financial Institutions	-	-	-	-	-	-	-	-
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	-	-	111	11,55	-	-	98	4,06
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	285	8,67	21	2,19	441	5,75	19	0,79
Total	3.287	100,00	961	100,00	7.674	100,00	2.416	100,00

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2015	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	3.287	650	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	311	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	3.287	961	-	-

31 December 2014	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	7.674	2.168	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	248	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	7.674	2.416	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):

a. Explanations on off-balance sheet commitments (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2015 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	311	-	-	-	311
Letter of Guarantee	3.273	576	88	-	3.937
Other	-	-	-	-	-
Total	3.584	576	88	-	4.248

31 December 2014 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	248	-	-	-	248
Letter of Guarantee	7.674	1.251	917	-	9.842
Other	-	-	-	-	-
Total	7.922	1.251	917	-	10.090

⁽¹⁾ The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2015 and 31 December 2014.

c. Explanations on loan derivatives and risks imposed:

None (31 December 2014: None).

d. Explanations on contingent liabilities and assets:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2015, the Branch had prudently provided a provision amounting to TL 200 thousand (31 December 2014: TL 344 thousand). The remaining provision amounting to TL 78 thousand (31 December 2014: 62 TL) is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

e. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2015 and 31 December 2014.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Short-Term Loans	141	33	240	150
Medium and Long-Term Loans	579	66	1.463	1
Interest on Non-Performing loans	96	2.315	-	-
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	816	2.414	1.703	151

2. Information on interest income on banks:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
From the CBRT	35	20	4	-
From Domestic Banks	-	-	-	-
From Foreign Banks	-	-	-	-
Headquarters and Branches Abroad	2.459	687	1.830	-
Total	2.494	707	1.834	-

3. Information on interest income on marketable securities:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	13.117	-	10.188	678
From Held-to-Maturity Investments	-	-	-	-
Total	13.117	-	10.188	678

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2014: None).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2014: None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2014: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2014: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

31 December 2015	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	
TL							
Bank Deposits	-	-	-	-	307	-	307
Saving Deposits	-	-	-	-	-	3	3
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	29	-	-	-	-	29
Other Deposits	-	-	-	-	-	-	-
Total	-	29	-	-	307	3	339
FC							
Foreign Currency Deposits	-	1	7	3	-	29	40
Bank Deposits	-	-	-	-	37	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	1	7	3	37	29	77
Grand Total	-	30	7	3	344	32	416

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense: (Continued)

31 December 2014	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	
TL							
Bank Deposits	25	-	-	-	-	-	25
Saving Deposits	-	-	-	-	-	-	-
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	29	-	-	-	-	29
Other Deposits	-	-	-	-	-	-	-
Total	25	29	-	-	-	-	54
FC							
Foreign Currency Deposits	-	2	25	10	-	160	197
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	2	25	10	-	160	197
Grand Total	25	31	25	10	-	160	251

c. Explanations on dividend income:

None (31 December 2014: None).

d. Explanations on trading loss/income (Net):

	31 December 2015	31 December 2014
Income	8.480	6.808
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	8.480	6.808
Loss (-)	(5.635)	(6.167)
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(5.635)	(6.167)
Net Income / Loss	2.845	641

e. Explanations on other operating income:

The Branch's other operating income; provision no longer required income is TL 158 thousand (31 December 2014: Provision no longer required income of TL 482 Thousand).

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(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2015	31 December 2014
Specific Provisions for Loans and Other Receivables	100	1.079
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	100	1.079
General Provision Expenses	72	77
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	113	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities	-	-
Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	285	1.156

g. Information related to other operating expenses:

	31 December 2015	31 December 2014
Personnel Expenses	6.152	5.625
Reserve for Employee Termination Benefits	206	33
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	316	318
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	186	213
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.213	1.055
Operational Leasing Expenses	135	135
Maintenance Expenses	87	80
Advertisement Expenses	11	9
Other Expenses	980	831
Loss on Sales of Assets	-	-
Other	987	957
Total	9.060	8.201

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 19.538 thousand (31 December 2014: TL 15.129 thousand), net fee and commission income amounting to TL 817 (31 December 2014: TL 1.543 thousand) and total other operating expense amounting TL 9.060 thousand (31 December 2014: TL 8.201 thousand).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2015, the Branch has a current tax expense of TL 2.717 thousand (31 December 2014: TL 1.880 thousand) and deferred tax expense of TL 89 thousand (31 December 2014: TL 113 thousand income).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax expense of TL 89 (31 December 2014: deferred tax income of TL 113) due to the occurrence of temporary differences as of 31 December 2015.

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

As of 31 December 2015, the Branch has TL 89 deferred tax expense due to the occurrence of temporary differences (31 December 2014: deferred tax income of TL 113 thousand).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2014: None).

c. Information on capital increase:

None (31 December 2014: None).

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

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VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies: None (31 December 2014: None).
3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i). Information on cash and cash equivalents at the beginning of the year:

	31 December 2015	31 December 2014
Cash	105.232	143.457
Cash and Effectives	32.089	37.568
Demand Deposits in Banks	73.143	105.889
Cash Equivalents	56.908	8.500
Interbank Money Market Placements	6.000	8.500
Time Deposits in Banks	50.908	-
Total Cash and Cash Equivalents	162.140	151.957

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	31 December 2015	31 December 2014
Cash	101.644	105.232
Cash and Effectives	15.817	32.089
Demand Deposits in Banks	85.827	73.143
Cash Equivalents	65.627	56.908
Interbank Money Market Placements	7.200	6.000
Time Deposits in Banks	58.427	50.908
Total Cash and Cash Equivalents	167.271	162.140

- b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:**

None (31 December 2014: None).

- c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:**

Decrease in the "Other" item amounting to TL (2.708) thousand (31 December 2014: TL 3.971 thousand decrease) which is classified under "Cash flows from banking operations" consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 3.728 thousand as of 31 December 2015 (31 December 2014: TL 1.706 thousand).

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2015**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2015:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	53.464	-
Balance at the End of the Period	-	-	-	-	61.127	-
Interest and Commission Income Received	-	-	-	-	3.119	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2014:

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Cash	Non-Cash	Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	25.408	14
Balance at the End of the Period	-	-	-	-	53.464	-
Interest and Commission Income Received	-	-	-	-	3.667	2

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Deposit						
Balance at the Beginning of the Period	-	-	-	-	76.010	53.854
Balance at the End of the Period ⁽²⁾	-	-	-	-	83.696	76.010
Interest Expense on Deposits	-	-	-	-	37	-

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) As of 31 December 2015, the TL 83.696 thousand of the TL 67.621 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 16.075 thousand is composed of Iran Central Bank.

(As of 31 December 2014, the TL 76.010 thousand of the TL 62.770 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 13.240 thousand is composed of Iran Central Bank.)

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group ⁽¹⁾	Associates and subsidiaries		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group ⁽²⁾	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Borrowings						
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) 31 December 2015- None (31 December 2014: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2015 and 31 December 2014.

6. Information on benefits provided to key management:

As of 31 December 2015, benefits provided to the Branch's key management amount to TL 1.572 thousand (31 December 2014: TL 1.708 thousand).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	Number of Employees	Country of Incorporation	Total Assets	Statutory Share Capital
Domestic Branch	3	48			
Foreign Rep. Offices					
Foreign Branch					
Off-Shore Banking Region Branch					

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
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NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as at 31 December 2015, holding the whole equity of the Branch has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 11 January 2016 and with No. 236.

31 December 2015

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	18,95
3	SABA TAMIN INVESTMENT CO.	9,91
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,99
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,43
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,49
9	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
10	SHIRIN ASAL CO.	1,21
11	IRAN NATIONAL INVESTMENT CO.	1,12
12	OTHER SHARES (LOWER THAN 1%)	18,98
TOTAL		100,00

31 December 2014

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	19,07
3	SOCIAL SECURITY ORGANISATION OF IRAN	9,99
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	5,92
5	SABA TAMIN INVESTMENT CO.	5,70
6	MELLAT FINANCIAL GROUP CO.	3,99
7	BANK MELLAT'S PERSONNEL PREFERRED SHARES	3,71
8	MOEIN ATIYE KHAHAN COOPERATIVE CO.	1,78
9	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,75
10	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
11	SHIRIN ASAL CO.	1,21
12	IRAN NATIONAL INVESTMENT CO.	1,11
13	OTHER SHARES (LOWER THAN 1%)	14,56
TOTAL		100,00

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Branch has been applied to BRSA on 18 February 2015 and with No. 1022 in order to increase capital from TL 156.914 reach to TL 200.000 by increasing TL 40.159 from internal resources and TL 2.936 from cash, the total amount of increase is TL 43.086.

Due to the result of agreement made on 17 January 2016 between P5+1 and Islamic Republic of Iran, economic sanctions against Islamic Republic of Iran abolished. Branch has decided to activate domestic and abroad electronical funds transfer system.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

None.

**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of 31 December 2015 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu Limited).

The independent auditor's report is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.

3. Information about Financial Structure

Net profit of Bank Mellat Turkey for the period amounts to TRY 11.431.000. As of the date of 31 December 2015 the shareholder's equity and total assets amount to TRY 208.001.000 and TRY 340.488.000 respectively.

3.1. Assessment of Financial Status, Stability and Solvency

The profitability rates as of the date of 31 December 2015 are as follows.

Profit Before Tax / Total Assets	14.237 / 340.488	4,18%
Profit Before Tax / Total Shareholder's Equity	14.237 / 208.001	6,84%
Profit Before Tax / Paid Capital	14.237 / 156.914	9,07%

The rates for 31.12.2014 are as follows:

Profit Before Tax / Total Assets	8.737 / 326.319	2,68%
Profit Before Tax / Total Shareholder's Equity	8.737 / 197.935	4,41%
Profit Before Tax / Paid Capital	8.737 / 156.914	5,57%

Bank Mellat has enough cash and cash-equivalent resources to meet its liabilities.

4. Risk Management Policies by Risk Types

Risk means the material loss that emerges in respect of any transaction or activity or the possibility of reduced economic benefit in case of such expense or loss incurred.

The branch is exposed to several risks due to the activities performed in order to meet its objectives. Purpose of risk management is to identify, measure, report, monitor and control imposed risks through application procedures and specified limits and to ensure determination internal capital requirement consistent with the risk profile to be adopted in this context.

The Board of Managers is entitled to determine the norms and principles, policies, procedures, practices and limits regarding the risk management system. The Board of Directors may delegate such power to the board members, the committees to be established and the senior line managers provided that the extent and limitations are specified in writing.

The following issues have been taken into account in determining the risk management policies and implementing procedures.

- Vision, mission, strategies and objectives of the Bank,
- Privileged and main fields of activity, products of the Bank and their volume and characteristics,
- Organizational structure and human resources of the Bank
- Previous incidents and experiences regarding the risks to be imposed,
- Extent and quality of the data base regarding risk management,
- Technological capability of the Bank its contribution to risk monitoring and management operations,

- Requirement of internal capital and level of actual equity capital and the risk level consistent with them.

Considering the size of the Branch, extent and complexity of its operations, the trade volume and product diversity it is not necessary to develop risk management policies and procedures for all risk types and sub-types. The branch management believes that it would be appropriate and sufficient to develop policies and procedures for some specific risk types and sub-types pursuant to the principle of significance.

Because of its activities the Branch is primarily exposed to credit and operational risks and after these market risks at a less significance level.

4.1. Principles and Policies for Credit Risk Management

The Board of Managers is entitled to open a credit. The Board of Managers may delegate the power of extending loans to the General Manager under the provisions of the Banking Law and relevant legislation. However, in practice all decisions regarding credits are made by the Board of Managers.

The Board of Managers is entitled to determine the extent and terms of credit operations.

The following priorities shall be observed in the credit facility operations of the Bank.

- In resource and limit allocation for credit facility operations the bank concentrates on cash credits with a maturity of less than a year for foreign trade transactions where we act as an intermediary and non-cash credits such as letter of guarantees, documentary credits and silent confirmation that customers may need for export and import transactions.
- Even though it is not possible to absolutely avoid concentrating in any product or sector in the
Branch credit risk in terms of target transaction types and customer mass focused, the Branch is careful and prudent to distribute the credits to a large customer group in a balanced manner.
- Customer demands for such credit facility operations other than those mentioned in the previous paragraph have secondary importance for the bank and are considered taking risk return balance, maturity and security quality, etc. into account.
- Investment will be made in securities representing a low risk weighted liability such as Treasury bond, state bond and TCB (Turkish Central Bank) liquidity bond and bank bill within the scope of fund management. Marketable securities representing the remaining liability other than those mentioned and partnership interests may be acquired upon the resolution of Board of Managers.
- Demand deposits offered to other banks for banking operations and time deposits offered to other banks as a part of fund management will be executed within the frame of such limit and terms specified by the Board of Managers.
- Loan allocation and extension are executed according to the principle of “Know your customer very well”. No credit will be allocated to such companies without a reasonable operational background which have failed to submit any necessary information or documentation in full or within the timeframe specified whose

management and/or owner lacks sufficient knowledge, capability or transparency where it is not possible to get sufficient information about them.

- In respect of loan decisions debtor's morality and capacity of generating cash flow to be used for repayment of the credit will be evaluated with care as well as such security or guarantee obtained.
- As a matter of principle, credits are issued against a valid security. Category I and II securities will be sought in the first place as specified in the Regulation on Identification of the Properties of Loans and Other Receivables by Banks and the Rules and Procedures on such Provisions for the same as security. Any asset other than those which can be converted into cash easily and rapidly with an operational market whose value can be defined avoiding any doubt will not be accepted as a security.
- A reasonable margin will be defined for the amount of security depending upon loan terms (interest, maturity, etc.). The amount of security will be calculated in such manner that it can meet the whole risk to be imposed in case of default. Currency and maturity of the security should be consistent with the risk.
- Credits are priced by taking their risk levels into consideration and the risk return balance is observed in each credit transaction. Risks to be undertaken against return will be considered as well as credit terms and maturity. Evaluations are used as a basic criterion in determining the credit price.
- Limits specified for total credit risk and sovereign risks are strictly observed. The issue of compliance is monitored to a very day and any exceeding is immediately reported to the General Manager and eliminated as soon as possible.

4.2.Principles and Policies for Operational Risk Management

Operational risk is defined as a risk of loss that results from insufficient or unsuccessful internal processes, people and systems, or external events. Operational risks with a potential of causing significant losses are the incidents which may result in system interruptions or problems, patterns of business conduct and in-house fraud.

Types of operational incidents do not have equal risk weights at the Branch. Operational risk principles, policies and practices are determined considering the risk weight of the type of incident that is deemed to be applicable to the Branch. Underwriting method will be utilized to reduce the risk if it is appropriate and feasible for the types of incident. The main principles, policies and measures regarding the operational risk management of the Branch are as follows.

- Underwriting technique is used for the purpose of reducing the operational risk where it is appropriate and feasible. The senior management of the bank is entitled to determine the cases in which this method is to be used and to apply the underwriting method.
- In all operations of the Bank the powers and responsibilities of those who decides and/or approves that the bank may be a party to any banking transaction and of those who are in charge of executing, performing and concluding the transaction are separate, and any overlapping transaction is not allowed.
- The powers and authorizations regarding the approval of all kinds of banking transaction and actual performance of such transaction are strictly separated from one other.

- Any person who is authorized to establish a trading and/or investment borrowing relation with any addressee and identify the terms of pricing, maturity or similar terms relating to such transactions will not be entitled to fulfill any operational task regarding such transactions.
- Operational transactions may be subject to different approval limits in terms of transaction amount in addition to the separation of approval and performance tasks. General Manager is entitled to set different limits for different kinds of transactions and determine the codes of practice relating to the same.
- Operations of the bank are supported with hardware and software systems which is compatible with international standards and local regulations and preventive and cautionary in terms of ensuring that potential risks do not turn into actual risks strengthening the operational productivity and reliability and enhancing the control efficiency.
- All necessary measures are taken by the Bank to ensure that the employees follow the developments in legislation and practices and are informed about them in a timely manner, and understand the content and scope of the amendments, and their effects on operations are communicated to the employees. These efforts are supported through in-house and external training events. The adequacy and extent of the efforts will be regularly monitored by means of compliance controls.
- Developments in work volume of the Bank are digitalized as of the periods. The relation between work load, tendencies about work load, any mistake, deficiency and contradictions about work force are analyzed in this manner. The results are assessed in order to take any necessary action. An organizational structure for internal control and internal audit which is consistent with the nature, scope and frequency of the findings obtained from the assessments are established. Sufficient number of experienced employees with appropriate qualifications is employed at those departments as is required for the job performed.
- Internal control operations constitute a complementary part of daily business operations of the Bank and primarily aim to minimize the possibility and severity of the operational risk.

Internal control department continuously develops preventive and determinative controls and conduct material mistake, reporting, physical control, approval and authorization, enquiry and reconciliation and limit compliance checks in specified intervals and with specific content.

- The frequency and quality of internal audit efforts and internal control operations to be performed regularly will be evaluated in a risk based manner. Internal audit department will make suggestions about any development, trend or privileged issue or necessary measures to be taken with respect to the operational risks.

4.3. Principles and Policies for Market Risk Management

The Branch is not actively engaged in trading activities, holds no securities or commodities position for trading purposes or uses no derivative financial instruments on its own behalf. Considering this situation, the Branch is exposed to interest rate risk and exchange risk due to marketable securities and foreign exchange position respectively. The following principles and policies are applicable to those risks at low severity level.

- The bank's fixed term resource pattern, weighted maturity (duration) and cost of this pattern are taken into account in acquisition of marketable securities.
- Though the Board of Managers is entitled to determine the rules and restrictions regarding the direction, amount and composition of the foreign exchange position of the Bank as a principle such power has been delegated to the Risk Committee by the Board of Managers. Risk Committee evaluates the economic developments in Turkey and the world by such intervals they deem fit and makes any necessary change in such limits and restrictions regarding the foreign exchange position.
- Minimum 80% of the Bank's net foreign exchange position consists of USD and EURO positions or currencies anchored to such currencies.

4.4. Principles and Policies for Liquidity Risk Management

Liquidity Risk which is defined as the failure to meet the payment obligations in full or in a timely manner as there is not enough or proper cash or cash inflow to meet the cash outflow in full or in a timely manner as a result of an imbalance in cash flow is managed in accordance with the following principles and policies.

- Liquidity risk is taken into consideration in all decisions regarding asset allocation including the credits. It is essential that liquidity management is performed in currency of the capital used.
- The maturity pattern of the existing bank assets and new utilization areas are taken into consideration in determining the maturity of such funds.
- Concentrations of customer and maturity in out – group sources are monitored closely. The amount and composition of liquid asset to be held are determined by considering such concentrations as well as statutory obligations.

5. Ratings and Their Implications

The branch has no rating score.

6. Summary Financial Information for the Five year Period Including the Reporting Period (TRY –thousand)

Financial Statement

ASSET ITEMS	2015	2014	2013	2012	2011
Cash Reserves and Central Bank	44.245	57.071	67.364	54.225	189.812
Banks	116.001	99.118	76.110	172.082	2.581.036
Receivables from Money Market	7.201	6.001	8.501	67.709	63.518
Credits	10.456	10.875	23.121	29.622	585.529
Securities	152.216	142.212	150.095	73.731	109.828
Other Assets	10.369	11.042	10.192	10.670	9.926
Total Assets	340.488	326.319	335.383	408.039	3.539.649
LIABILITY ITEMS					
Deposit	125.079	120.455	137.621	209.721	3.091.768
Borrowed loans	-	-	-	-	225.112
Provisions (Tax and Other)	5.133	4.325	4.624	5.032	14.696
Other Liabilities	2.275	3.604	3.678	9.207	50.864
Shareholder's Equity	208.001	197.935	189.460	184.079	157.209
Total Liabilities	340.488	326.319	335.383	408.039	3.539.649

BANK MELLAT, HEADQUARTERS TEHRAN – IRAN, TURKEY HEAD OFFICE IN ISTANBUL, BRANCH OFFICES IN ANKARA AND IZMIR
2015 ANNUAL REPORT

INCOME STATEMENT	2015	2014	2013	2012	2011
Net Interest Income	19.538	15.129	13.582	33.315	58.877
Net Fee and Commission Revenues	817	1.543	1.744	9.205	26.126
Other Revenues (net)	3.227	1.422	3.775	3.989	5.439
Total of Operating Revenues	23.582	18.094	19.101	46.509	90.442
Other Operating Charges	-9.060	-8.201	-10.302	-14.955	-11.089
Provision for Credit and Other Receivables	-285	-1.156	-274	-50	-5.414
Profit Before Tax	14.237	8.737	8.525	31.504	73.939
Tax Provision	-2.806	-1.767	-1.566	-5.912	-15.410
Net Profit	11.431	6.970	6.959	25.592	58.529

	2015	2014	2013	2012	2011
Total Number of Employees	48	48	50	57	55
Total Number of the Branches	3	3	3	3	3

7. Turkish Version of Annual Report of Bank Mellat Tehran – Iran

Annual Repot of Bank Mellat
(2013)

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Message of CEO

This collection is a transitional perspective of performance of Bank Mellat in 2013. We believe that a large organization can merely survive by referring to public thoughts, utilizing correctional views, the-start-of-the-art knowledge, its staff, and innovation in the competition scene. Thus, as past, we seek your opinions.

Logical distribution of transactions, continuous enforcement of financial structure, and obtaining desirable profit for stocks are survival factors of this organization. In addition, we believe that the relation of bank with people must be a comprehensive and sustainable one. Thus, spiritual, cultural, and social concerns are included in the agenda of this bank. Implementation of a comprehensive banking as a global successful experience, organizational enhancement, and adaption with major economic policies of government make this bank acceptable as a cutting edge organ in economic centers.

Board of Directors, managers, and staff of Bank Mellat are seeking a professional and successful bank in economic and organization areas, and they will not withhold any effort to achieve this goal.

This bank demands support of honorable stockholders and customers in this hard path.

I wish progressive achievements for Iran government and nation and Bank Mellat.

Ali Rastegar, CEO

Part 1: Bank Mellat at a glance

History of Bank Mellat

According to the approval dated 20/12/1980 of Banks General Assembly and by article 17 of Banks Affairs Administration Law, Bank Mellat was established on 22/7/1980 by merging 10 private banks under no. 38077 of Companies Registry Administration.

After notifying policies of article 44 of constitution and inclusion of Bank Mellat in the related list, and in the strength of approval no. 37925T/68985 dated 24/7/2007 of Board of Ministers, and decision of Extraordinary General Assembly of banks on 6/4/2008, the legal identity of Bank Mellat converted to "public joint stock". Accordingly, Bank Mellat was included in the list of Tehran Stock Exchange as 448th listed company on 11/2/2009, and 5% of its stocks were offered in bourse on 19/2/2009.

Since the brand and visual identity of this organization are the requirements of development of bank activities and attraction of customers, this bank enacted suitable standards by powerful consultants and changed its external and internal facades of its branches around country. Organization Identity Project placed this bank on the level of global banks.

Central office: No. 276, Shaid Musavi (Forsat) St., Taleghani St., Tehran, Iran

Tel: +98(21) 82961

Fax: +98(21) 82962700

Mellat Communication Center:

Tehran: +98(21) 1556

Other cities: +98(21) 82488

Zip: 1591614311

Site: www.bankmellat.ir

Email: info@bankmellat.ir

Email: saham@bankmellat.ir

Tel: +98(21) 66970058-9

Fax: +98(21) 66970053

Managing Director and Board Members

Managing Director

Mr. Ali Rastegar

Managing Director and member of board

Representative of Saba Tamin Investment Co.

Membership date: 17/6/2014

Board Member

Mr. Kurosh Madelat

Representative of IRI Government

Membership date: 28/8/2014

Board Member

Mr. Alireza Legzayi

Representative of Fars Province Investment Co.

Membership date: 21/7/2013

Board Member

Mr. Mostafa Zarghami

Representative of Tose'e Moein Mellat Investment Co.

Membership date: 20/5/2014

Major organizational chart of Bank Mellat

General Assembly

Board of Directors

- Strategic Committee of Comprehensive Banking
- Appointment Committee
- Service Supply Committee
- Auditing Committee
- Risk Committee

Managing Director

- Director General of Management & public Relations Office
- Money Laundry Control Department
- Director General of Security
- Asset & Debt Committee

Deputy

- Training & Research Deputy
- Human Resource & Supervision Deputy
- Financial Deputy
- Credit Deputy
- Plan & Planning Deputy
- Investment & Companies Deputy
- IT & Operations Deputy
- Corporate Banking Deputy
- Sales & Customers Relation Deputy (Region 1)
- Region 1 Affairs Manager
- Sales & Customers Relation Deputy (Region 2 & 3)
- Region 2 Affairs Manager
- Region 3 Affairs Manager
- Private Banking Affairs Manager
- Personal Banking Affairs Manager
- Commercial Banking Affairs Manager
- International Affairs Manager

- Department General of Foreign Exchange Operations
- Department General of Foreign Affairs
- Internal Accounting Management

Bank at a Glance

Description	Bank			Group		
	2011	2012	2013	2011	2012	2013
A) Functional Information (Amounts in Million Rials)						
Operating Income	67,869,803	88,921,326	116,437,879	92,852,425	107,917,671	137,697,827
Operating Profit	28,528,909	30,821,521	45,810,372	53,820,755	50,019,508	67,494,920
Non-operating Incomes	5,665,696	12,358,799	9,781,073	6,745,437	13,068,315	13,128,180
Net Profit after Tax	7,008,809	14,706,064	16,792,379	8,067,495	15,159,110	21,978,033
Annual Adjustments	(259,244)	382,043	1,734,023	(489,970)	774,757	2,496,149
Cash earned by Operating Activities	27,245,213	13,664,558	13,137,954	39,158,369	26,095,662	10,273,568
B) Balance Sheet Information (Amount in Million Rials)						
Assets	778,513,362	1,180,990,512	1,370,660,659	779,542,056	1,183,317,807	1,390,418,253
Debts	732,669,877	1,125,801,241	1,302,337,331	732,306,073	1,126,102,428	1,312,407,402
Registered Capital	20,000,000	33,100,000	40,000,000	20,000,000	33,100,000	40,000,000
Minority Share	-	-	-	893,259	1,025,931	2,087,367
Shareholders' Equity	45,843,485	55,189,272	68,323,328	47,235,983	57,215,379	78,010,852
C) Return Rate (%)						
Assets Return Rate	0.97	1.36	1.31	1.15	1.47	1.75
Shareholders' Equity Return Rate	16.4	29.1	26.2	18.9	30.3	32
D) Share Information						
Number of shares when general assembly is hold (Million)	20,000	33,100	40,000	20,000	33,100	40,000
First Dividend Forecast (Rials)	350	224	240	350	224	240
Last Dividend Forecast (Rials)	347	250	408	347	250	408
Real Dividend (Rials)	350	444	420	403	471	566
Cash Dividend (Rials)	270	160	270	42	44	270
Last value of each share before general assembly (Rials)	1,561	2,054	2,376	1,561	2,054	2,376
Book value of each share (Million Rials)	2,292	1,667	1,708	2,361	1,728	1,950
Value/Real Income rate of each share (rank)	4.5	4.6	5.6	3.9	4.4	4.4

Bank's position among other commercial banks

Share from Total Market of Rial Deposits with Trading Banks (Billion Rial)

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Deposits (%)
2012-2013	545,368	1,952,005	2,497,373	21.8
2013-2014	690,310	2,403,448	3,093,758	22.3

Share from Total Market of Rial and Exchange Resources of Trading Banks (Billion Rial)

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	838,250	2,243,788	3,082,038	27.2
2013-2014	933,033	2,721,346	3,654,379	25.5

Share from Total Market of Uses of Trading Banks

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	756,087	1,845,138	2,601,225	29.1
2013-2014	849,817	2,295,677	3,145,494	27

Share from Total Market of Human Resource of Trading Banks

Year	Bank Mellat	Other Trading Banks	Total Deposits	Bank's Share of Total Resources (%)
2012-2013	22,495	112,961	135,456	16.6
2013-2014	22,158	116,798	138,956	15.9

Manpower

Undoubtedly, today's world is the world of organizations, in which manpower is the most important factor of organizational development. Without manpower, organizations neither have conception nor can be administrated. Thus, manpower is the most valuable resource of today's organizations, because they form decisions, solve problems, and achieve productivity.

Reaching the targets of the organization needs to have qualified personnel in doing their jobs who are very compatible with changing environment. Training and improving human resource leads to have better organization that is qualified to gain goals in effective ways.

This Bank as a leading financial institute, seeks its personnel improvement as one of the first and most important priorities. We know that human resource has a main role in banking industry and we are sure that without using this rare and unique source there is no place for progress especially when there is no motivation for them in partnership. That's why this Bank has more investments on its human resources than ever.

Total manpower: 22,158 persons.

	Line	Headquarters	Male	Female
Staff	16,283	5,875	19,279	2,879

Work records of staff (year)

<5	5-10	10-15	15-20	20-25	>25	Total
120	3342	5884	5186	4444	3182	22,158

Staff by activity type

Managerial	Specialized	Executive	Professional	Total
9023	1834	3020	8281	22,158

Staff by educations

Doctorate Degree	Master's Degree	Bachelor's Degree	Associate Degree	High School	Under High School	Total
22	1141	8754	2010	9356	875	22,158

Branches and staff

The Symbol Project was initiated from 2013 in Bank Mellat and 48 selected branches included in this project, which have commissioned service counters, by permission of Certificate Center of Central Bank, to register, cancel, suspend, recover, identify identities or customers, or deliver token to customers.

In order to optimize organization structure and using electronic infrastructures in bank operations, a review took place in 2013 upon which the organizational positions were adjusted to 266.

Number of branches and staff

Branches	Staffs
1,633	22,158

Position of Bank Mellat among banking network

- First place among commercial banks in attracting exchange and Rial resources
- First place among commercial banks in attracting exchange deposits
- First place among commercial banks in attracting current non-benefit deposits
- First place among commercial banks in attracting short-term deposits
- First place among commercial banks for attracting staff per capita resources
- First place among commercial banks for attracting staff per capita Rial deposits
- First place among commercial banks for attracting branches per capita resources
- First place among commercial banks for attracting branches per capita Rial deposits
- First place among commercial banks for consumption
- Second place among commercial banks for Rials deposits volume
- Second place among commercial banks for attracting long-term deposits
- Second place among commercial banks for opening L/Cs
- Second place among commercial banks for issuing letter of guarantee

Bank performance

- 11.3% growth in sum of Rial and exchange resources
- 24.5% growth in Rial resources
- 28.4% growth in Rial deposits
- 23.9% growth in long-term deposits
- 53.2% growth in short-term deposits
- 12.4% growth in bank consumptions
- 21.4% growth in exchange long-term deposits
- 91.3% growth in Rial and exchange letter of guarantee
- 16.1% growth in assets
- 22.6% growth in joint revenues
- 27.7% growth in non-joint revenues
- 22.3% growth in total revenue
- 14.1% growth per earning per share

Bank outcomes

- Issuing absolute vote by Supreme Court of England indicating removal of sanctions against Bank Mellat
- Attributing title of Richest Company in country by Industrial Management Organization
- To supply necessary exchange for pharmaceutical companies
- To obtain the first rank in banking system for number of cards and card readers
- To setup the first Venture Bank in Iran
- Having most visitor's site among 10 dominant sites of Iran
- To issue endowment slips for Charity and Endowment Organization

- To obtain second rank for enhancement of financial system of Iran in The Festival for Professional Financial Faces of Iran
- To obtain agreement of bourse for acceptance of stocks of Tose'e Moein Mellat Investment Co.
- Holding the Conference for Development of Finance System in Iran
- To identify a great fraud bank
- To participate in releasing prisoners with unintentional financial crimes
- Acknowledgement of President Deputy for environment protection training
- Introducing 20 branch chairmen as successful ones in banking system
- Obtaining silver cedar medal as premium master
- Obtaining 2 golden medals in the Premium Brands Festival
- Obtaining first rank between 100 IMI companies
- Obtaining fifth rank between 100 IMI companies
- Obtaining first rank for stock value in bourse
- Obtaining first rank for attraction of deposits
- Implementing granting export facilities (from National Development Fund)
- Implementing Money Laundry Prevention System
- Implementing Fraud Detection System
- Implementing Data Centers Sites
- Launching native switchch
- Implementing services for code *712#
- Implementing Comprehensive System for Credit Capacity of Customers
- Implementing Customers Credit Ranking System

Changes of bank capital

Date of Capital Increase	Capital Increase Rate	Capital (MRials)	Capital Increment (MRials)	Capital Amount after Increment (MRials)	Capital Increment Place
1/8/1993	1706	33,500	571,500	605,000	Reevaluation of fixed assets
1/8/2001	104.8	605,000	634,000	1,239,000	Special bonds subject to Article 93 of 3 rd Development Act
10/8/2005	957	1,239,000	11,861,000	13,100,000	Reevaluation of fixed assets and exchange deposits and debts
26/4/2011	22	13,100,000	2,900,000	16,000,000	Cash product of stockholders
24/6/2012	25	16,000,000	4,000,000	20,000,000	Accumulated profit
23/9/2012	65.5	20,000,000	13,100,000	33,100,000	Fixed assets evaluation review
15/2/2014	20.8	33,100,000	6,900,000	40,000,000	Accumulated profit

MRial = Million Rials

Combination of stockholders

Stockholders with more than 1% shares on 20/3/2014:

Stockholder	11/7/2014		20/3/2014	
	No. of stocks	%	No. of stocks	%
Provincial investment companies (Edalat Stock)	11,999,999,797	30.0	9,929,999,882	30.0
IRI Government	7,864,278,540	19.66	6,507,690,519	19.66
SSO	3,997,007,592	9.99	3,307,523,797	9.99
Saba Tamin Investment Co. (Public JS)	2,585,395,908	4.46	2,147,690,123	4.46
Future Supply Fund for staff of Bank Mellat	2,171,364,875	5.0	1,710,117,267	5.17
Mellat Financial Group Co. (Public JS)	1,616,548,976	4.04	1,302,083,619	3.93
Preferential stocks of staff	1,585,417,228	3.96	1,312,266,484	3.96
Moein Atiyekkhahan Cooperative Co.	710,575,223	1.78	588,001,000	1.78
Iran Overall Distribution Co.	698,333,778	1.75	650,271,205	1.96
Oil Retirement Fund Investment Co. (Private JS)	501,595,162	1.25	422,999,999	1.28
Shirinasal Co.	483,397,223	1.21	382,761,204	1.16
Iran National Investment Co. (Public JS)	444,762,983	1.11	368,043,095	1.11
Mellat Insurance Co. (Public JS)	407,317,545	1.02	337,055,271	1.02
Others <1%	4,934,305,170	12.77	4,133,496,535	12.49
Total	40,000,000,000	100	33,100,000,000	100

Comparison of share profit and real performance

Item	First share profit anticipation in 2013 (audited)	Last share profit anticipation (audited)	Real performance 20/3/2014
Joint revenues			
Facilities profit	74,819,482	65,634,459	64,081,789
Profit (loss) of investments	8,580,163	10,478,577	11,112,096
Total joint revenues	84,399,645	76,113,036	75,193,885
On-account profit of investment deposits	(67,324,348)	(56,262,912)	(59,471,496)
Difference of absolute and on-account profits of investment deposits	0	0	0
Profit shares of depositors	(67,324,348)	(56,262,912)	(59,471,196)
Bank share of joint revenues (including attorney fee)	17,175,297	19,850,124	15,722,689
Non-joint revenues			
Profit of obligatory amount	24,320,646	21,759,243	27,465,506
Fee	7,704,127	13,412,486	13,778,488
Exchange profit	2,704,804	6,258,525	8,778,294
Others	1,657,783	2,105,565	1,007,564
Total non-joint revenues	36,387,359	43,535,819	51,025,067
Total revenues	53,462,657	63,385,942	66,747,756
Costs			
Official and general costs	(22,499,138)	(24,593,580)	(26,603,516)
Doubtful claims	(8,129,056)	(13,928,399)	(11,156,311)
Financial costs	(3,329,621)	(4,636,626)	(7,237,199)
Others	(4,539,325)	(4,428,159)	(3,856,571)
Total costs	(41,497,140)	(47,586,765)	(48,853,597)
Profit (loss) before tax	11,965,517	15,799,177	17,894,159
Tax	(2,366,492)	(2,280,668)	(1,101,780)
Net profit (loss)	9,599,025	13,518,509	16,792,379
No. of shares (million)	33,100	33,100	40,000
Profit per share	290	408	420

Number of symbol opening and transaction days

Description	2013	2012
Symbol opening days	215	215
Transaction days	215	215

Bank budget

Anticipation for 2014 according to performance for period ending on 20/3/2014:

Item	Amount (MMRial)
Revenue from facilities	82,815,101
Revenue from investment and deposits	14,676,044
Fees and other revenues	52,514,119
Total revenues	150,005,264
Paid profit to investment deposits	(75,848,492)
Other operational costs	(9,690,822)
Public and special reserve cost for general facilities	(16,067,176)
Personnel, general, and official costs	(26,220,199)
Total costs	(127,826,689)
Operational profit (loss)	22,178,575
Net non-operational incomes (costs)	(1,311,823)
Profit (loss) before tax	20,866,752
Tax	(2,862,087)
Profit (loss) after tax	18,004,665
Number of shares (million)	40,000
Profit per share	450

Financial and operational performance of bank and group in 2013

Item	Bank			Group		
	2012	2013	Inc.(dec.)%	2012	2013	Inc.(dec.)%
1. Profit & loss						
a) Main revenues						
Joint revenues	61,335,623	75,193,885	22.6	81,446,161	96,454,399	18.4
Non-joint revenues	39,944,502	51,025,067	22.7	39,539,825	54,371,608	37.5
b) Costs						
Official and general costs	20,142,330	26,903,516	33.4	19,878,572	26,856,289	35
Interest cost, finished price of sold goods, and services	46,710,610	59,471,196	27	19,363,892	18,580,857	(4)
Doubtful claims	11,389,195	11,156,311	(2)	11,398,486	10,935,213	(4)
Other costs	869,167	758,879	(12)	869,167	781,510	(10)
c) Financial costs	6,117,852	10,034,891	64	5,600,460	10,112,648	80
d) Profit before tax	16,050,972	17,894,159	12	17,375,732	24,291,796	40
e) Net profit	14,706,064	16,792,379	14	15,159,110	21,978,033	45
2. Assets						
a) Generator assets	841,504,808	1,027,826,420	22.1	831,731,575	1,015,693,177	22.1
b) Investments	22,587,733	21,897,423	(3.1)	26,945,019	32,390,935	20.2
c) Cash inventory	11,107,268	14,980,894	36.9	13,938,263	20,249,716	48.5
d) Claims from banks	211,095,935	205,734,959	(2.5)	211,544,349	205,949,440	(2.6)
e) Total assets	1,180,990,512	1,370,660,659	16.1	1,183,317,807	1,390,418,253	17.5
f) Fixed assets	36,878,009	41,932,164	13.7	39,379,519	45,541,325	15.6
g) Other assets	57,816,759	58,288,799	17.5	60,079,082	70,593,659	0.8
3. Capital						
a) Equity	55,189,272	68,323,328	23.8	56,189,448	75,923,485	35.2
b) Total debts	1,125,801,241	1,302,337,331	15.6	1,126,102,428	1,312,407,402	16.5

Bank financial ratios

Item	Ratio	2011	2012	2013
a) Activity ratios				
Granted facilities to deposit resources (%)	$\frac{\text{Granted facilities}}{\text{Deposit resources}}$	78.2	74.1	78.1
Deferred items to granted facilities (%)	$\frac{\text{Unpaid, deferred, and doubtful claims}}{\text{Granted facilities}}$	15.0	14.0	11.3
Growth rate of deposits (%)	$\frac{\text{Last year deposits} - \text{Present year deposits}}{\text{Last year deposits}}$	15.3	25.0	27.0
Growth rate of facilities (%)	$\frac{\text{Last year facilities} - \text{Present year facilities}}{\text{Last year facilities}}$	7.7	17.4	20.6
Proprietary ratio (%)	$\frac{\text{Equity}}{\text{Total assets}}$	5.9	4.7	5.0
b) Liquidity ratios				
Minimum cash inventory ratio (%)	$\frac{\text{Ongoing amounts + cash}}{\text{Resources accountable for legal reserve}}$	1.4	2	2.3
Earning liquidity ratio (%)	$\frac{\text{Operational cash flow}}{\text{Net profit}}$	98	93	78
Input per capita resources (BRial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	243.4	318.2	422.7
Staff deposit per capita (BRial)	$\frac{\text{Deposits}}{\text{Number of staff}}$	19.0	24.2	31.2
c) Profitability ratios				
Equity return (%)	$\frac{\text{Gross profit}}{\text{Equity}}$	20.34	31.8	28.98
Total assets return (%)	$\frac{\text{Gross profit}}{\text{Total assets}}$	1.04	1.64	1.4
Net profit growth rate (%)	$\frac{\text{Last year net profit} - \text{Present year net profit}}{\text{Last year net profit}}$	6.4	109.8	14.2
Operational costs to operational revenues (%)	$\frac{\text{Operational costs}}{\text{Operational revenues}}$	67.3	65.3	60.7
Services fee share of total revenue (%)	$\frac{\text{Services fee}}{\text{Total revenue}}$	8.9	5.5	10.9
d) Stocks market rations				
Earnings per share (EPS)	$\frac{\text{Net profit}}{\text{Total stock}}$	212	444	420
Cash earnings per share (DPS)	$\frac{\text{Dividable profit}}{\text{Total stock}}$	270	160	42*

* Minimum cash earnings was inserted after deduction of legal reserve.

Group financial ratios

Item	Ratio	2011	2012	2013
a) Activity ratios				
Bank share from large commercial banks (%)	$\frac{\text{Resources of Bank Mellat}}{\text{Resources of large commercial banks}}$	24.4	24.7	25.5
Net facilities to free deposit resources (%)	$\frac{\text{Net facilities}}{\text{Free deposit resources}}$	72.4	77.2	76.5
Deferred items to net facilities balance (%)	$\frac{\text{Unpaid and deferred claims}}{\text{Current and non-current claims}}$	19.5	19.9	11.5
Deposits growth rate (%)	$\frac{\text{Last year deposits} - \text{Present year deposits}}{\text{Last year deposits}}$	16.3	24.1	26.6
Facilities growth rate (%)	$\frac{\text{Last year facilities} - \text{Present year facilities}}{\text{Last year facilities}}$	16.3	7	20.7
Proprietary ratio (%)	$\frac{\text{Equity}}{\text{Total assets}}$	4.8	6.1	5.6
b) Liquidity ratios				
Minimum cash inventory ratio	$\frac{\text{Ongoing amounts + cash}}{\text{Resources accountable for legal reserve}}$	1.5	1.4	3.9
Earning liquidity ratio	$\frac{\text{Operational cash flow}}{\text{Net profit}}$	98	170	47
Input per capita resources (BRial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	326	488	570
Staff deposit per capita (BRial)	$\frac{\text{Deposits}}{\text{Number of staff}}$	18.7	234	30.4
c) Profitability ratios				
Equity return (%)	$\frac{\text{Gross profit}}{\text{Equity}}$	30.7	18.9	32
Total assets return (%)	$\frac{\text{Gross profit}}{\text{Total assets}}$	1.5	1.1	1.7
Net profit growth rate (%)	$\frac{\text{Last year net profit} - \text{Present year net profit}}{\text{Last year net profit}}$	87.9	14	45
Cost to revenue ratio (%)	$\frac{\text{Operational costs}}{\text{Operational revenues}}$	72.1	68.7	51
Services fee share of total revenue (%)	$\frac{\text{Services fee}}{\text{Total revenue}}$	9.5	15.3	9.1
d) Stocks market ratios				
Earnings per share (EPS)	$\frac{\text{Net profit}}{\text{Total stock}}$	466	403	566

Situation of transactions and stock prices

Bank's stock was included in Tehran Stock Exchange, group of banks and commercial institutes, by "WebMellat" symbol. Stock situation of Bank Mellat during last 5 years are:

Fiscal year ending on	No. of transacted stocks	Value of transacted stocks (MRials)	Symbol open days	Market value (MRials)	Stock price at the end of year (Rials)	Capital (MRials)
20/3/2010	2,336,586,016	2,782,805	231	17,881,500	1,365	13,100,000
20/3/2011	911,923,339	1,602,437	225	33,312,000	2,082	16,000,000
19/3/2012	1,922,789,338	4,057,217	228	31,220,000	1,561	20,000,000
20/3/2013	2,408,269,077	2,882,811	215	39,521,400	1,194	33,100,000
20/3/2014	6,176,229,968	15,072,050	215	101,760,000	2,544	40,000,000

MRial = Million Rials

Customers of Bank Mellat

Now, customers of Bank Mellat include legal government and non-government customers and real persons totally equal to 26,703,879 persons, which they totally have 40,552,200 Rial and exchange accounts in this bank.

- Average of claims to consumption ratio for commercial banks is 12.6%, while claims to consumption ratio for Bank Mellat is 7.5%. Therefore, Bank Mellat have been the most success in collection of claims.

Situation and developments of banking industry in 2013

Among the 43 industries in Tehran Stock Exchange and among 442 bourse and over-the-counter (OTC) companies, banking industry has a special place and is among the 15 premium industry by return perspective. Increment of presence in stocks market after notification of article 44 and requiring registering on bourse in the recent years led to more relation and link between capital and money markets.

Although both markets compete each other in financing, attracting public capital, and productivity, they are correlated by increment of banks in bourse and each decision in bourse affect both markets positively or negatively. Its predominant evidence is increment of bank interest and drop of bourse index during last year.

Now, present value of active banks in bourse and OTC is estimated about IRR500,000 billion.

Bank's activities in IT and e-banking

Row	System	Results
1	Modern Inspections System	• Decrement of inspection time in branches from 90 to 1 day • Establishment of continuous inspection • To register and maintain all events in branches • To setup an online inquiry system to open current account in all branches • Access of all managers and inspectors to financial & administrative events • To inspect branches irrelevant to their distances • To delete island system
2	Transmission and Mail System	• Decrement of mail distribution • To track and follow-up mails • To develop system up to complete mechanization • Access of managers to statistics of mails by branch, district, region,...
3	Branch Worksheet System	• Decrement of access time to branch statistics • Continuous control of branches • To record and save branch statistics • Access of managers to statistics branches
4	Food and Drug Monitoring System	• Control of issuance of production, import, and distribution permissions • To monitor performances of production, import and distribution compaies • To transact of public organizations (customs, bank, Ministry of Trade,...)

Bank's branches

Description	2013
Staff	22,158
Branches	1633
Budgets	471
ATM	3252
POS	620,977

National and international prides

Regarding to its dominant performance, Bank Mellat has obtained splendid prides during the last three decades.

Top place by The Banker Institute, 2000	First place among public banks, 2003	ISO 2000:9001 from MOODY Inc.	Top place between trade bank	Appraisal of President
Appraisal of Ministry of Trade for wheat purchase plan	The only selected bank for enhancement of health system and cleanup, 2010	Appraisal of Ministry of Finance and Economic Affairs, 2008	Appraisal of Ministry of Finance and Economic Affairs, 2006	Top place by The Banker Institute, 2002
Obtaining Premium Entrepreneur Title in National Entrepreneurship and Production Conference, 2014		Honesty Medal for e-banking 2014		Top Organization Title in IT and Administrative Health, 2014

Part 2: Integrated banking

Improvement of business model

Regarding to changes of business environment and increased expectations of customers, Bank Mellat has included transition from traditional banking to integrated banking in its agenda.

Modern banking	Traditional banking
Focus on customer	Focus on product

Integrated banking is a financial market in which customers can obviate their needs (insurance, leasing, bond transactions, exchange bills,...) outright. In fact, integrated banking offers appropriate services for each customer. Now we have four groups of customers in the bank: personal, corporate, private, and commercial banking.

	Legal persons	Real persons
No.: low Size: large	Corporate Banking	Private Banking & Wealth Management
No.: High Size: Small	Commercial Banking	Personal Banking

Outcomes of integrated banking

Generally, outcomes of integrated banking are: customer satisfaction, profitability, and risk management. These outcomes can be categorized in two business (customers' area) and support units' area. Tables 1 and 2 show the details.

Table 1: Outcomes of integrated banking in customers' area

Corporate Banking	Commercial and Personal Banking
• Settlement of customer-driven concept instead of product-driven concept and making decision by customer communication volume • Providing operational plan by BSC and customers • Implementation of a pilot project, product/services and processes diagnosing and improving them gradually	• Transferring knowledge and technology for designing proposition • Grouping customers • Planning for settlement and implementation and pilot startup
Sale Management area	
• To redesign organizational chart of branches based on new business model • To select and train qualified manpower for Customer Manager post • To design new operational program based on new business model	

Table 2: Outcomes of integrated banking in support units' area

Risk and Credit area	Financial area
• To change structure and processes of Risk and Credit Unit processes according to new business model • To redact customers' financial profile • To redact a framework for guidelines of granting GLA and SLA to qualified persons and to design BSC to grant minor facilities	• To redact an accounting system for reporting integrated banking and to settle financial units in customers' group • To separate Treasury from Operational Management and to create a Modern Treasury Unit • To study to setup Asset and Debt Unit and Debt Asset Committee
Human Resources Area	Operations Management Area
• To analyze related jobs with approved structures in integrated banking • To value and redact job description and conditions for integrated banking • To design Compensation Pattern for Services of Corporate Banking	• To identify key processes for offering services to customers and to identify improvable points • To concentrate some of operational processes • To implement Operation Management of Corporate Banking
Operations Improvement Workgroup	Compliance Workgroup
• To redact a structure for grouping customers • To improve key processes based on new business model • To create new departments based on new business model	• To redact agreements for offering services to customers and affiliated companies • To design primary copy of service offering processes for customers and affiliated companies • To make common goals for selling products and services to customers and affiliated companies

Table 3: Outcomes of Strategy Management Office

• To redact developmental models in integrated banking pattern • To redact strategic planning and goal-making model • To redact strategic planning and goal-making pattern • To redact major goals based on modeling economic and financial variables • To redact goal assignment patterns to profit centers and business lines

Private Banking

Private Banking and wealth management are new concepts in banking literature of Iran despite their long record in the world. Difference of them with other existing banking models, such as Trade Banking and Corporate Banking, makes their implementation difficult.

Bank Mellat understands needs of customers and obligated to respond them to provide a profitability potential by recognizing implementation challenges and obstacles. This bank intends to do R&D activities and to copy activities of international banks, and finally internalizing these operations.

Private Banking intends to prevent repetition of unsuccessful experiences of other banks in implementation of this new concept, by considering all aspects of this business, and to implement this model. Obviously, achieving this goal requires broad studies and providing required infrastructures.

The most important outcomes in this area reported by related experts are:

- To identify needs of customers in Private Banking
- To provide advertisement strategies to drive Private Banking
- To develop a software system for Private Banking, including:
 - Profile Management subsystem and Customer Relation subsystem
 - Asset Management subsystem
- To examine investment funds
- To examine and monitor developments of capital market
- To do broad feasibility studies for development of investment to diversify the proposed portfolio for Private Banking
- To extract document of training needs of Private Banking Management staff
- To analyze and implement SWOT by considering internal and external challenges

Personal Banking

List of services and products for customers:

Row	Product / service / project
1	To debut the home page of Internet Banking System
2	To setup new Pay Station for fuel price in 240 gas stations
3	To develop Internet Banking services: • To setup requesting second password for cards • To setup "Check Booklet Issuance" service • To setup requesting issuance of Mellat Card • To pay installments • To open deposit/ short term exchange accounts and to issue exchange drafts • To activate passwords for special services
4	To develop telephone-bank services: • To change menu of telephone-bank • To buy online credit SIM • To inquiry check booklet • To remit to other accouts
5	To pay installments of other customers via Mobile Bank System
6	To setup SMS system for informing bank services
7	To Send high amount drafts
8	Acceptors Project (2)
9	To setup card issuance devices
10	To setup Code Bank System *712#
11	To promote non-attending services

Corporate Banking

Necessity

In the current competitive banking space, offering special services to customers increases their loyalty, manages revenues and costs, and increases profitability. In this regard, Bank Mellat has implemented Corporate Banking for customers, who present return and profitability with a certain risk level.

Regarding compatibility of Bank Mellat with international banks and to enhance the brand and to accomplish the motto "Feel changes", Corporate Banking Management started on March 2012 officially.

Mission

The main mission of Corporate Banking is creating value for large customers. These customers at least sell RIs.300 Billion, which a manager is assigned to them by their needs and dispersion to announce value packages to them.

Valuation and value creation for customers, improvement of key processes for offering special services to them, designing exclusive products and services for each one, and making long term win-win relations with them are the goals of Corporate Banking management.

Offering diverse baskets of banking and non-banking services to large legal customers, Corporate Banking responds their needs faster and better and increases their satisfaction.

The most important actions in Corporate Banking in 2013

- To setup Office No. 1 of Corporate Banking in Zafar Building
- To identify, attract, and transfer more than 200 large customers from other branches to this office
- To design and setup special counters in selected branches to accelerate and enhance services
- To design new products for production
- To attract more than 50 CRM managers among branches' managers
- To hold training courses to familiarize with modern banking methods by internal and international professors
- To attract experts in risk and credit areas to offer exclusive services to customers; to define new mechanisms and credit processes
- To conclude contracts with suppliers of non-banking products to offer a divers basket to customers, including Ma Insurance Co., Mellat Brokery, Mellat Investment Co., Mellat Exchange, Etebargostar Exchange, Mellat Transfer Co., and Atlas Value-Creation Co.

Future actions

Corporate Banking is at the beginning of its way to achieving its goals. In this regard, the goals will be accomplished by endeavor of related manager and experts and existing knowledge and skills.

Therefore, the most important future action is establishment of other offices for Corporate Banking, especially in energy field.

Trade Banking

Programs and activities in 2013

- Thorough study about integrated banking
- To cooperate with R&D Department to find needs of customers in market researches area
- To cooperate with Marketing Management to provide statistics and data for Trade Banking customers

Programs and activities in 2014

The most important services for 2014 are redaction of proposed R&D packages and management of survival cost. This bank intends to design new packages proportional to activation areas of customers. The activities can be summarized as follows:

- To redact guideline for proposed packages of Trade Banking
- To modify processes for providing services and products
- To study competitive advantage of services and products in other banks
- To estimate cost and profit of proposed services and products
- To open the first Trade Banking center in Tehran
- To redact a development programs for other Trade Banking centers and branches

Fulfilled actions for Integrated Banking project

- Feasibility and comparative studies
- To separate market sectors
- To organize Sale Department
- To develop Financial Elevation Center
 - Bedding for MIS
 - To modify financial accounting structure
 - Management accounting
 - To manage market risk and liquidity
- To develop Credit Risk Elevation Center

Customer in integrated banking

To offer suitable service to customers require better customer recognition. Thus, in the Integrated Banking project, Bank Mellat separated business customers into 4 groups. Therefore, Trade and Corporate Banking belong to legal persons and Private and Personal Banking belong to legal or real persons.

Corporate Banking	Large private and public companies with extended activities
Trade Banking	Large and average legal companies with average and high activity volumes
Personal Banking	Real persons with various activities
Private Banking	Rich real persons requiring exclusive services such as wealth management and financial consultation

Performance report of Strategic Management Office

Strategic analysis and development

- Econometric analysis to anticipate economic variables, financial markets, and business lines
- To determine market size in different business areas
- To redact growth strategies in different business areas
- To make goals for income in Mellat group
- To make goals for income by customer groups
- To make goals for income by business lines

Communication and organizational comply

- To help holding required specialty courses in Integrated Banking area
- To document and inform patterns, models, and training guide for Integrated Banking
- To comply beneficiary groups (common goal-making)
- To develop business strategy
- To develop strategy for supportive units

Strategic performance evaluation / innovative actions management

- To manage innovative actions to implement strategies
- To develop BSC
- To manage meetings and review strategies
- To test and report strategies

It is worth to say that the most important developmental program is movement towards Integrated Banking now. The goal of changing business model was changing business rules, conditions, and environment and responding progressive and complex needs of customers. In fact, the previous business model hadn't continuous profitability because of severe competition, reduction of facilities rate, and increment of speculation in rival markets. It also couldn't respond diverse needs of customers. The previous model required decrement of costs to make profitability stable; while the new model can manage costs, present stable profitability and can diverse income channels by notice to customers and obviation of their needs.

Part 3: Performance of bank's departments

Effective steps of Bank Mellat towards promotion of performance quality in credit field

In the economic structure of company, banks are the main pivot of economic sector for finance. Therefore, performance quality of credit field in a bank plays an important role in success of that unit and in economic development of country. Accordingly, Bank Mellat devoted special notice to credit processes, assigning resources and facilities, maintaining credit health, and credit risk management. This bank has honor to be as a forward bank in credit field relying its experience experts and designing and implementing strategic operational systems in this field.

Participation in national large projects

Regarding to modifications in credit decision-making, clarification of roles of departments, and organization of structure considering customer risks, one of the outcomes was reduction of claim items. Optimal grating facilities and purposeful injection of resources in project helped economy of country and prevented creation of new claims.

The following table shows samples of participation of Bank Mellat in national projects and participation with large companies.

Row	Company / Project	Price (billion Rials)	Title
1	Construction of crude oil reservoirs in Gonaveh	1500	Project
2	Common gas field in South Pars	\$7 billion	National Development Fund
3	Behin Ertebat Mehr Co.	844,821,1000 Yuan	Finance
4	Abadan Refinery	22,042 MYuan	Finance
5	Iran Medical Sciences University	500	Revolving fund
6	Mobin Iran Co.	700	Revolving fund
7	Cruse Production Industries	2600	Revolving fund
8	Payambaran Hospital	171	Civil; Development Project
9	Tehran Daru Co.	200	Civil
10	Science and Culture University	224	Civil; Project
11	Gandi Hospital Hotel	400	Participation in purchase of equipment
12	Pars Khodro	1000	Civil
13	Pars Khodro	1000	Visual L/C
14	Zamyad	900	Civil
15	Mobile Communications	2000	Civil
16	Mobile Communications	2500	Civil
17	Mobile Communications (Pahnbad)	Eur596,209,335	Ongoing
18	Equipment of charcoal mines (Tabas 4)	Eur106 million	
19	South Aluminum	Eur141 million	Production of aluminum ingots
20	Iran Communication Co.	Eur125 million	Development and reconstruction project
21	Khorasan Steel Complex	400	Development project
22	Navid Composite	240	Construction of strings factory
23	Padra'd	300	Revolving fund
24	Boland Tabagheh	200	Revolving fund
25	Mobinnet Communication Co.	300	Revolving fund
26	Shahid Bamonar Copper	400	Revolving fund
27	Bafq Iron and Steel Complex	5550 Eur42 million	Revolving fund
28	Moheb Hospital (Hazrat Fatemeh)	320	Revolving fund
29	Moheb Hospital (Full Women)	330	Revolving fund
30	Iran National Copper Industries Co.	4220	Revolving fund
31	Keyson	450	Revolving fund
32	Iran National Copper Industries Co.	4220	Revolving fund
33	Pars Khodro Co.	700	Revolving fund
34	Bahman Group	800	Revolving fund
35	Mellat Relegation Co. (approvals of 2013)	2200	Revolving fund
36	Saipa Co.	1500	Revolving fund
37	Iran Khodro Co.	1500	Revolving fund

38	Behpakhsh Co.	500	Revolving fund
39	Ferdows Distribution Co.	300	Revolving fund
40	Saipa Yadak Co.	250	Revolving fund
41	Yazd Steel Roll	350	Revolving fund
42	Toos Hojat	200	Revolving fund
43	Golbarg Baharan Co.	280	Revolving fund
44	Mammut Co.	1200	Revolving fund
45	Sapco Co.	1000	Revolving fund
46	Tehran Cement Co.	350	Revolving fund
47	Saipa Sazeh Gostar Co.	400	Revolving fund
48	Megamotor co.	650	Revolving fund
49	Tehran Internet Co.	600	Revolving fund
50	Pakshoo Co.	600	Revolving fund

R&D

1. Field projects and studies
 - To examine the reasons of busy branches in Alborz Province
 - To examine operational problems for agency services in bourse kiosks
 - To examine performance of insurance tables of branch managers in District 1
 - To determine place, image, and personality of Bank Mellat in comparison with competitors from customers' views
 - To examine accessibility to the goals of TV advertisements for Bank Mellat from customers' views
2. To fulfill case studies
 - Scanning internal and external banks for ATM, POS, mobile bank, internet bank, telephone bank, Mellat communication centers, encouragement project for receivers of POS devices, facility plans, modern credit products, finance products
 - Introducing insurance products basket in Private Banking
3. Products & services / proposed model
 - To offer a conceptual model for combinational tools in bank
 - To offer a financial performance evaluation model based on indices of monitoring organs and ranking banks
 - To design ILS insurance bonds by tankers, vehicle body, and finance of Ma Insurance Co.
4. Integrated Banking Project
 - Case study in selected world banks (Mizuho, HSBC, Barclays, Wells Fargo)
 - The pattern of division of incomes and costs of external banks by customers' groups
 - To sell main products by customers' groups
 - Leadership of alignment workgroup in affiliated companies:
 - To conclude trade and service agreements between customers and business groups
 - To design service offering processes for customers and business groups
 - To design key operation indices by customers' groups in integrated banking
 - To redact operational program indices Mellat Integrated Bank and customers' groups
 - To determine common sale goals for companies and customers' groups (Ma Insurance, Mellat Brokery, Mellat Assignment)
 - To align IT and business strategies of Mellat Integrated Bank
 - To measure work-desire indices in staff and recommendations of customers in Bank Mellat
 - To examine banks by the identified indices from 2009 to 2013
 - The new IT approach in external banks
 - The method of applying IT changes in Integrated Banking
 - To compare organizational/IT framework and to offer a combined model
 - To do marketing researches to identify needs of trade customers, small and private businesses
5. Other research projects

- To design applied financing models for energy projects
 - To design applied models for assignment of energy projects
 - To develop activities of customers' club
6. Operational planning area
- To review and change goal-making mechanism of operational program's indices
 - To develop MIS
 - To setup MIS in central departments
 - To align affiliated companies with queue units with common goals in operational plan

Legal environment of Bank

The most important rules and regulations in this bank are:

1. Approvals and rules of Money and Credit Council
2. Money and Bank Act of 1972
3. Usury-free Bank Operations Act of 1983
4. Trade Act
5. Tax rules
6. Approved rules, regulations, bylaws, and codes by bourse
7. Money-Laundry Control Act
8. The Fifth Economic, Social, and Cultural Development Act
9. Annual strategic-monitoring package of Central Bank of IRI
10. Articles of association

Social performance report

Participation in public-beneficial activities

These activities are:

- To pay atonement for prisoners
- To participate in construction and equipment of 63 schools
- To construct many prayer rooms

Participation in cultural and artistic activities

Bank Mellat participated in this are by establishment of Mellat Foundation, including:

- To celebrate the greats of science, culture, and art
- To maintain cultural relations with external countries
- To publish cultural magazines
- To hold literary festivals
- To celebrate Labor Day
- To visit museums and cultural centers
- To attend in environment campaigns and exhibitions

Training

Item	Cost (2013) (MRials)
Staff training	178,019
Holding and attending seminars	44,280
Research projects	15,117
Total training costs	237,416

Year	Training		
	No. of courses	Man/hour	Total participants
2008	2102	3,316,383	127,913
2009	1863	2,691,137	149,646
2010	1653	1,574,100	66,864
2011	1708	1,366,978	67,756
2012	1028	1,893,207	104,248
2013	1491	1,175,327	74,230

Internet Sale System for travel exchange

The related actions of this bank for sale of travel exchange are:

- Reception of passengers to control their documents and application for exchange in all branches
- To establish a kiosk to deliver exchange to passengers in 16 international airports of country
- To deliver exchange to pilgrims in Exchange Branches
- To maintain Nowruz Guards and increment of active branches during Nowruz

An internet system for sale of travel exchange was designed and implemented in 2014 to increase satisfaction of customers.

Using this system, passengers and pilgrims can apply and pay related costs with their ATM cards. Then pilgrims take their exchange from selected branches. Other passengers take their exchange from airport kiosks.

The outcomes of exchange sale system are:

- Decrement of bureaucracy for passengers
- Acceleration of exchange sale process
- Increment of capacity for responding applicants
- Much transparency of exchange sale processes
- Accomplishment of e-government and decrement of presence refers

Mellat Communication Center (1556)

Mellat Communication Center was opened on March 2007 to reverence clientele, informing, tracking, and guiding customers for bank issues. This center has a customer-driven and service-driven structure to mechanize communication channels between bank and customers.

The current communication channels of this center are:

- Tel. no. 1556 with more than 120 extensions
- SMS
- Voice-mail
- Email
- Fax
- Q&A system
- Online chat

This center works from 7:30 to 24:00 with more than 40 experts with about 2300 contacts/day.

Customers Club of Bank Mellat

Bank Mellat has provided the-state-of-the-art services to implement relational marketing concept by establishment of Customers Club, which is a dynamic and friendly environment for more interactions with customers.

The main goals of this club are:

1. To create an excellent and distinguished experiment for customers
2. To develop new products and services by recognizing customers' needs
3. To make mutual communication with customers
4. To deliver suitable responses to confidence of customers
5. To encourage customers to use e-banking
6. To encourage customers to gather scores and use prizes

Now more than 2,000,000 customers are members of this club.

International and exchange activities

One of the goals of Bank Mellat is development of international activities and help to expand trade transactions and support Iranian traders for improvement of import and export situation. Bank Mellat has 4 external branches and 2 affiliated banks in London and Yerevan, which offer exchange services to external customers

Because of sanctions and cut of services by some of governments, Bank Mellat could fulfill its exchange activities by useful strategies, intelligent diplomacy, and maintaining relation with new brokers in foreign banking. This is very important by increment of competition in offering services in this field. It provokes related experts to activate to highlight the role of bank against other internal banks.

Profit & loss of external branches

Branch	2013 (MRials)	2012 (MRials)
Seoul branch	11,518	6,487
Turkey branch	88,166	215,813

International branches of Bank Mellat are in England, Germany, Turkey (Istanbul, Ankara, Izmir), Armenia, Malaysia, and South Korea (Seoul).

Corporate sovereignty in Bank Mellat

Bank Mellat has decreased risk, market value, resources assignment by placement of corporate sovereignty mechanisms, movement toward obtaining rights of beneficiaries, and growth of deposits. Regarding to the predominant roles of Risk Management Committee and Internal Accounting Committee to accomplish corporate sovereignty, Bank Mellat has placed these committees to help board of directors in supervision.

These committees had played a prominent role in redaction of strategies and achievement of goals by presence of board chairman, deputies, university professors, industry experts, and internal and external consultants.

Corporate sovereignty structure in Bank Mellat includes organizational roles such as board of directors, risk management, and internal accounting committee.

Tracking strategies, increment of efficiency, operation efficacy, considering rules, and proper reporting to beneficiaries are other outcomes of placement of corporate sovereignty in Bank Mellat.

Performance of Audit Committee

Audit Committee was established by approval of board of directors and its statute was approved on 23/7/2008. Goals, structure, formation, duties, responsibilities, and meetings are identified in the statute. The main goals and responsibilities of Audit Committee are:

- To monitor financial reporting
- To check correctness of financial statements
- To place internal control system
- To consider rules and regulations
- To do internal audit
- To monitor professional qualification and independence of independent auditors

Members of Audit Committee are:

- Board Chairman as chairman
- One of the bank experts
- Two official accountants
- One accounting PhD out of bank
- Accounting Manager as member and secretary of committee

There have been 42 meeting for Audit Committee in 2013, which the main actions are:

1. To study financial and audit reports, financial statements, budget, performance, claims, tax, and management letter.
2. To study internal audit reports of General Logistics Department, management of operations, organization and improvement of methods, staff affairs, investment, companies affairs, management of branches of district 5, and case audit reports.
3. To study and settle incompatibilities between management and independent auditor before final report.
4. To study annual performance report of internal audit management.
5. To study settlement of open entries in temporary debt and credit accounts and their control and follow-up methods.
6. To study budgeting and contracting for budgeting system; to control budget in Bank Mellat
7. To study integration of financial, operational, and information systems of Bank Mellat
8. To study obligations of retirement fund, and sufficiency of reserves for doubtful claims
9. To study reports of internal audit recommendations
10. To require reporting of departments and to study those reports

Performance of Internal Audit Management

1. In Operational Deputy field, 7 general administrations and operational cycles that were in the audit plan of 2013, were audited for about 924 work days in 2013.
2. Fulfillment of preparation phase in IT Deputy with cooperation of Padid Pardaz Pardis Co.
3. In IT field, 11 IT projects were initiated during 2013 by cooperation of Padid Pardaz Pardis Co., which were progressed 80% up to the end of 2013.
4. To follow-up execution of audit recommendations monthly, and to report it to related manager, Audit Committee, and operational plan meetings for about 464 work days.

5. To execute audit missions allotted by Audit Committee, Assistants Council, and Board of Directors, for about 764 work days, including submission of complementary report of Audit Management about redemption of leave in deprived regions for years 1989-1997; study of financial statements of Pars Fund; bond process; study of IT report for facilities, claims, and obligations; suggest about statute of Asset and Debt Management Committee; report of exchange resources and consumptions of bank and offering it to Exchange Committee for responding to the items for inspection of inspectors of Central Bank.
6. To study draft of accounting reports, management letter, etc. to submit to Audit Committee
7. To consult with different departments for their operational activities
8. To provide reports for personal facilities and obligations and submission to Central Bank.

Risk management

Sovereignty structure of risk management

Sovereignty structure of risk management in Bank Mellat is a subset of bank's sovereignty structure and includes Board of Directors, Higher Committee of Risk Management, Technical Committee of Risk Management, Risk Management Administration, working units and internal audit. This structure determines strategy, approach, risk control and management. This structure contains definitions of risk management approaches, structures, and processes in business goals. Some of the features of risk sovereignty structure are a transparent definition from responsibilities and expectations of all departments, including board of directors, manages, and staff. Modification of business model from traditional to integrated banking, has changed approach of bank management towards risk-based management. In this new pattern, Bank Mellat offers its services to respond different (banking, financial, insurance, investment,...) requirements and profitability. In the new business model, trade behavior of bank is based on "risk-return" principle.

Bank Mellat believes that risk culture must flow in the entire of organization. Therefore, it selected and trained risk interfaces in different departments to maintain continuous communication and to identify and control key risks. Bank Mellat holds training courses to increase organizational knowledge of staff about risk management and has implemented risk management units in all business departments.

Risk Management Higher Committee

One of the most important columns of risk sovereignty structure in Bank Mellat is Risk Management Higher Committee, which has an independent nature. Some of the duties of this committee are:

- To design and propose risk tolerance and demand level to board of directors
- To apply risks in redaction of bank's strategies
- To study submitted reports about major risks in bank operations
- To evaluate fulfilled actions against reported risks
- To offer necessary proposals to board of directors

Risk Management Higher Committee uses Risk Management Technical Committee views to redact policies and strategies for risk management. In 2013, Risk Management Higher Committee and Risk Management Technical Committee held 13 meetings and issued 67 and 64 approvals, respectively.

Risk Management Department

Risk Management in Bank Mellat has an independent and concentrated structure and examines and reports strategic, market, credit, operational, compatibility, liquidity, and financial risk. Risk Management Department uses Ball Committee guidelines and standards to optimize capital usage and to maximize equity of stockholders. Regarding the effects of major economic variables on bank's performance, Risk Management Department anticipates these variables such as inflation rate, real economy growth rate, liquidity volume, the effects of "Purposeful Subsidies Law". This department redacts many credit and investment strategies according to market risk situation.

Bank Mellat monitors indices such as adjusted return to risk index, money finished price increment risk, bank profit quality, liquidity split situation, exchange items risk, assets quality risk, etc. to recognize and evaluate the existing risks in the financial structure of bank. regarding to the important

role of some indices such as RAROC and money finished price risk in policy-making, these indices are evaluated in branches management levels too. Meanwhile, Camels Ratios are evaluated in this bank to improve capital sufficiency risk, assets quality risk, profitability, liquidity and market. To decrease liquidity risk, risk appetite limit (expected retrun), and combination of liquidity reserves, credit limits are determined. Also, the above mentioned risk management program was executed in 8 areas in order to decrease human resources risk. Other actions of Risk Management Department are monitoring capital sufficiency, studying comparative risks for all bylaws, and monitoring laws and regulations of authorities.

Liquidity risk management

By effective liquidity risk management, Bank Mellat could use profitability opportunities created by optimization of liquidity resources.

Initial Liquidity Risk

Reverse of cash amounts and assets with rapid liquidity capability to visual debts was used to calculate Initial Liquidity Risk. Initial Risk Index was 3.47 units for 2012 and was 2.64 units for 2013, which show 24% of improvement. Bank Mellat could apply a suitable management on Initial Liquidity Risk for 2013.

Secondary Liquidity Risk

Not returning amounts of facilities is an important reason for creation of liquidity risk. Thus, control of this risk is included in liquidity risk management. Not-returning installments rate shows Secondary Liquidity Risk. This risk was 1.30 units for 2012 and was 1.28 for 2013, which shows 1.5% decrement.

Total resultant of liquidity risk

Sum of indices of liquidity risks for 2012 was 4.77 units and for 2013 was 3.92 units, which shows 18% decrement. Despite liquidity problems in the state banking system in 2013, Bank Mellat could manage liquidity risk by its continuous monitoring.

RAROC

RAROC was used as one of the most important tools to achieve risk management goals. RAROC is used in banks to achieve two major goals:

1. To assign resources (capital)
2. To evaluate performance based on risk and return

The optimum level of risky capital and expected return (risk appetite) are determined by RAROC. This model indicates and evaluates a certain level of accepted risk level to attain required return in bank level, trade lines, and regional management.

The calculated RAROC for 2013 is 32.65 percent, which is 11.65% higher than non-risk return, and has increased 5.20 units (19%) than the previous year.

Money finished price increment risk (MFPIR)

32% inflation in 2013 and increment of deposit interest in banking system converted cost management and money finished price control, and in turn, profitability to the largest challenges of this year. In the last year, cost was managed so that bank's costs were decreased against 2-digit inflation (more than

30%). Regarding to the economic anticipations, deposit profit and money finished price were efficiently managed.

The following chart shows money finished price increment in Bank Mellat and other banks in 2013 and previous year. As you see, growth of money finished price in Bank Mellat is nearly half of that of other banks, which reduced 277.5 BRials of bank's costs in last year and increased profit by the same amount.

Assets Quality Risk

Because of low demand for many commodities due to depression, Bank Mellat adjusted its strategies according to industries with advantages and disadvantages to anticipate demand changes and economy purchase power, so it succeeded to manage Assets Quality Risk.

Despite many problems in major economy sector in 2013, assets quality of this bank was improved than its previous year. As the chart shows, despite increment of economy risk in 2013, Assets Quality Risk decreased 7.2 percent.

State Budget Shortage Risk

The state budget shortage in the last year (210,000 BRials) concluded not fulfillment of obligations of government against many companies and contractors and increment of active customers' risks. Bank Mellat managed facilities levels to state companies and public contractors and adjusted its credit policies before this crisis. So it succeeded to manage credit risk in this area.

Competitive Place Risk

Applying money contraction policy by Central Bank and market situation in the last year increased competition between banks. Bank Mellat amplified its competitive place by evaluation of economic situation, situation of rivals, and determination of optimum interest rate. The following chart shows shares of main deposits of Bank Mellat among large trade banks of country.

Credit Risk Management

Today, risk management has experienced major changes. These changes affected competition in credit markets and created opportunities for banks. One of the opportunities was created in credit risk management field. What is important in credit risk management is a combination of risk culture (ideas, principles, skills, experiences, and sovereignty structure) and risk-return situation to track emerging risks. Credit Risk Management has offered suitable strategies for credit policy-making and goal-making and continuous monitoring credit risk.

Risky value

Credit Portfolio Management of Bank Mellat was controlled in 2013 so that risky value had increased 0.58%, despite 20.53% increment of facilities in 2013 than 2012.

The following chart compares growth of facilities and claims. As you see, growth of controlled claims and facility management efficiency were increased at early of 2013.

Coverage of risky value of credit portfolio

Coverage of risky value of credit portfolio in 2013 has increased by 0.31% than its previous year and has reached to 44.44%. The 44% coverage of risky value by doubtful claims reserves indicate desirable level of coverage of risky value in Bank Mellat.

Operational Risk Management

Operational Risk Management in Bank Mellat recognizes and evaluates risks for processes and methods, human resources, internal systems and external events. Its methodology is based on integrated risk management framework and is measured by basic index.

For 2013, economic capital to cover operational risk in Bank Mellat was 7.19% more than minimum required capital according to Ball-II and Ball-III standards. During last four years, Bank Mellat has increased its operational risk coverage significantly.

Comparative risk management

Comparative risk management is very important in preventing damages to credits of banks. In this regard, Bank Mellat tried to compare products, procedures, standards, and internal rules with authorized laws to manage comparative risk effectively according to global standards (including Ball Committee principles). "Contingent rules" are a set of rules that stabilized banking system and supports depositors and stockholders. Therefore, they are very important for monitoring authorities. Considering determined ratios in these rules strengthens financial structure and decreases risks and increases stability, efficacy and effectiveness. Regarding the importance of these rules, including authorized limits for investments, facilities, and obligations, major obligations and capital sufficiency, Bank Mellat has managed comparison if these rules suitably. Continuous monitoring of internal rules and coinciding them with external rules has been a principle in Bank Mellat. In this regard, Bylaws Commission, comprising General Administration of Inspection and Supervision, Legal Administration, Methods Improvement Organization, and Risk Management Unit, study internal rules of bank by comparing them with laws.

Regarding the importance of money-laundry control, there have been many effective actions including:

1. To identify customers' identities via software system; online access to external authorized systems such as Central Bank, Registry of Personal Status Organization, etc.; and obtaining inquiries of behaviors of customers
2. To build a database for suspicious persons, accessible by all branches
3. To design, produce, and operate Processes Modification System to prevent crimes
4. To design, produce, and operate AML System (money laundry control)
5. To send doubtful cash (CTR) and transaction (STR) reports to Financial Information Unit (FIU) of Money Laundry Control Administration of Central Bank

IT Risk Management

IT Risk Management in Bank Mellat identifies and evaluates IT risks. The related methodology is based on COBIT and ISO standards. IT Risk Management proceeded to examine business continuation risk in IT in 2013 be recommendations of Central Bank, and offered control actions to crisis and support sites to cover these risks. Another action in this regard is startup of Data Guard Server for administration automation in crisis site, startup of Crisis Data Center, and promotion of infrastructures of Main Data Center.

Some of actions of IT Risk Management in 2013 are:

- Approval of new composition of Leadership Committee for IT Security
- To hold many meeting during the year to discuss about security events and projects in the bank
- To settle Security Operations Center
- To execute penetrability tests on the websites of bank

- To redact strategic document of information security to direct security projects and activities
- To design Data Leakage Protection System (DLP)
- To develop Active Directory infrastructure in headquarters to concentrate security policies
- To startup Concentrated Security Patches Management System (Patch Management)
- To startup monitoring system for client computers in bank

Part 4: Audit Report

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Report of independent auditor and legal inspector to Ordinary General Meeting of Stockholders Bank Mellat (Public JS)

Report of financial statements

Introduction

1. Integrated financial statements of Bank Mellat including balance sheet, profit & loss statements, and cash flow for the financial year ending on Mar. 20, 2013 have been audited by this institute.

Responsibility of board against financial statements

2. Responsibility of providing these financial statements is due to the board of directors of this bank. This responsibility includes designing, devise, and maintain internal controls for financial statements so that these statements will be without any deviation due to failure or mistake.

Responsibility of auditor and legal inspector

3. Responsibility of this organization is declaration about the financial statements according to audit standards. These standards imply that this organization consider requirements of professional conduct behavior and implement them so that it will insure there is no important deviation in the financial statements.

Audit includes procedures to obtain audit evidences about amounts and other disclosed information in the financial statements. Selection of audit procedures depends on judgment of auditor and evaluation of important deviation dangers due to failure or mistake. To evaluate these dangers, internal controls for provision and submission of financial statements will be applied in order to design proper audit methods, not for declaration about efficacy of those internal controls. Also, audit includes evaluation of suitability of applied accounting procedures and estimations by board of directors and evaluation of totality of financial statements.

This organization believes that the obtained evidences for conditional declaration about these financial statements are enough and suitable.

Also, as a legal inspector, this organization is responsible to report breeches of legal requirements mentioned in monetary and banking rules, interest-free banking operations, amendment of Trade Act and contents of Articles of Association of this bank to Ordinary General Meeting of Stockholders.

Basis of conditional declaration

4. According to article 29 of statute of Retirement Fund for Staff of Banks, present value of future obligations of this fund must be evaluated each 3 years and related obligations of each member bank will be supplied after approval of General Meeting of this fund. In this regard, totally Rls.11,599 billion reserve was included in the accounts and Rls.3,700 billion was paid, but there is no reserve in the accounts for 2011 to 2013. Nevertheless, determination of exact amount depends on declaration of final amount by the fund.

Conditional declaration

5. By view of this organization, except for the effects mentioned in par. 4 above, the financial statements for Bank Mellat at Mar. 20, 2013 and its financial performance and cash flows are according to accounting standards.

Emphasizing a special topic

6. During the reported fiscal year, facilities against execution of Budget Law were depreciated by contents of descriptive note 10.3.3. Also, claims mentioned in descriptive notes 16.2, 9.2, and 10.3.2 can be collected by new agreements.

7. Regarding to the descriptive note 25.1, according to article 7 and par. 1 of article 9 of Membership Payment Method Code in Deposits Guarantee Fund, subject of approval no. H48367T/100998 dated 24/7/2013 by Ministers Body, this bank has obligations to the above fund for annual membership fee, which Rls.175 billion was paid on account for initial membership fee. However, according to letter no. 92/235155 dated 2/11/2013 by General Chairman of Central Bank, this membership fee is subject to reexamination and declaration of results by that bank, which has not been reported up to now.

8. According to the descriptive note 6.2, Central Bank withdrew Rls.2,537 billion for difference of currency rate, which was registered in the debt column of accounts of Central Bank, at the end of 2011 for approval no. 47698T/M/90-34030 dated 5/1/2012 by Workgroup for Organization of Exchange Affairs.

Declarations of this organization for par. 6 to 8 are unconditional.

Report about other legal requirements

Report about other duties of legal inspector

9. Cases of not considering irrevocable bylaws and approvals in banking system in 2013 are:

9.1. Monetary and credit policies of state banking system about note 4 of article 17 for granting credits to affiliated companies without approval of Credit Commission of Central Bank and approval of General Chairman of Central Bank in some cases.

9.2. Bylaw no. 183 dated 15/4/2007 of Central Bank about:

9.2.1. Article 3.1 and 3.3 about direct and indirect investment of bank in debentures published by legal persons, equal to 10% of bank capital, and total direct and indirect investment of bank in off-bourse bonds not more than 5% of bank capital.

9.2.2. Article 3.5, total direct and indirect investment of bank in stocks of companies, maximum equal to 20% of capital mentioned in the articles of association of that company.

9.2.3. Article 3.6, total direct and indirect investment in stocks of companies in order to extend bank services and protecting professional secrets, maximum equal to 49% of capital mentioned in the articles of association of that company, and submission of report to Central Bank and obtaining permission.

9.3. Contents of bylaw no. 91/147874 dated 26/8/2012 and bylaw no. 92/110090 dated 8/7/2013 about maximum credit of Murabaha for current year, subject of article 13 of executive guideline for credit card based on Murabaha contract equal to RIs.40,000,000.

10. Contents of articles 44 of Budget Act 2013 indicating receiving profit and fee of granted facilities more than approved rates by Money and Credit Council were not considered.

11. Contents of amendment of article 11 of collection of unpaid, deferred, and doubtful claims of credit institutions, subject of approval no. 49909T/169061 dated 25/10/2009 by Board of Ministries for actions of credit institutions in order to facilitate non-current debts of customers by reinstallation of those debts for 5 years.

12. According to the existing data, the theft amount from this bank during this fiscal year was more than RIs.644 billion (RIs.74 billion for last fiscal year), and collections for this theft was RIs.88 billion (RIs.54 billion for last fiscal year) up to now.

13. The details of calculations for difference of exact profit and investment accounts in note 40 were compared with the contents of bylaw no. 126331 dated 10/3/2009 of Central Bank. There were no implications indicating not considering the contents of this bylaw.

14. The items not considering legal requirements in amendment of Trade Act and articles of association of bank are:

14.1. Regarding to the contents of article 240, the view of general meeting of stockholders is attracted to the effects of par. 4 of this report on equity and profit division.

14.2. The contents of article 53 of articles of association of bank for legal reserve from 5% of net profit conflicts with the contents of Money Law of country.

15. Transaction included in descriptive note 59.1 of financial statements, includes all transactions mentioned in article 129 of amendment of Trade Act that were done during this fiscal year and approve by board of directors. For these transactions, the contents of the above mentioned article indicated obtaining permission from board and non-participation of manager in voting were considered. Additionally, there was no other conflicts about normal banking operations in these transactions.

10. The report of board of directors about activities of this bank, subject of article 232 of amendment of Trade Act, for submission to Ordinary General Meeting of Stockholders, was studies by this organization. By view of this organization, there were no conflicts with the submitted documents in this report.

Report of other legal responsibilities of auditor

17. In execution of article 33 of executive guideline of Opposition with Laundering by auditors, the noticed checklists by related authorities and audit standards were evaluated by this organization. Despite placement of Money Laundry Control Unit in this bank network, the contents of this Act were not executed completely.

18. The rules and regulations of Bourse Organization were not considered as follows:

18.1. Compatibility of articles of association of bank with that of listed companies in bourse.

18.2. Submission and disclosure of information, reports, and financial statements in different times during this fiscal year.

18.3. Submission and disclosure of financial statements according to the sample in bourse.

18.4. The contents of article 10 of guidelines for internal control of listed companies in bourse and on-the-counter for election of a chairman for Audit Committee among unbound members of board of directors.

Date: July 16, 2014
All pages signed & sealed: Audit Organization

Bank Mellat (Public JS)
Descriptive notes of financial statements integrated of bank and group
for year ending on Mar. 20, 2014

To: Tehran Stock Exchange Organization

Reverently,

The integrated financial statements and bank financial statements for the year ending on Mar. 20, 2014 are delivered, and their components are:

a) Integrated financial statements

Integrated balance sheet

Integrated profit & loss statement

Integrated accumulated profit & loss statement

Integrated comprehensive profit & loss statement

Integrated cash flow statement

b) Bank financial statements

Balance sheet

Profit & loss statement

Accumulated profit & loss statement

Comprehensive profit & loss statement

Cash flow statement

c) Descriptive notes

Generals

Base of financial statements

A brief of accounting procedures

Other notes

All financial statements were provided according to accounting standards and have been approved by board of directors on June 17, 2014.

Board members:

1. Mr. Mohammad Reza Sarokhani, Managing Director and board member
2. Mr. Alireza Lankarani, Board Chairman and member of board
3. Mr. Ali Khorsandian, unbound member of board
4. Mr. Mostafa Zarghami, bound member of board
5. Mr. Ali Rastegar, bound member of board

Bank Mellat (Public JS)
Integrated Balance Sheet (on Mar. 20, 2014)

<u>Assets</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>	<u>Debts and Equity</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>
<u>Current assets:</u>		(MRial)	(MRial)	<u>Current debts:</u>		(MRial)	(MRial)
Cash inventory	5	20,249,716	13,638,263	Debt to Central Bank	18	277,661,295	205,531,018
Claims from Central Bank	6	108,833,625	94,832,738	Debt to other banks	19	53,179,150	45,460,593
Claims from othe banks	7	145,869,160	138,377,722	Visual deposits	20	263,819,339	275,844,460
Claims from government	8	40,414,003	34,039,756	Saving deposits etc.	21	59,373,961	80,884,625
Facilities to government	9	277,432,621	241,841,283	Long investment deposits	22	540,182,946	397,620,930
Facilities to others	10	569,970,692	460,512,549	Other deposits	23	63,032,161	69,736,798
L/C and drafts	11	25,022,038	26,780,293	Tax payable	24	1,825,318	2,336,181
Debentures etc.	12	14,100,479	46,891,583	Reserves etc.	25	20,577,329	15,028,345
Investment & participation	13	32,390,935	26,945,019	For L/C and drafts	26	25,403,084	27,188,115
Tangible assets	14	43,024,799	37,814,678	Dividend payable	27	124,024	2,155,770
Intangible assets	15	2,516,526	1,564,841	Service end reserve	28	5,021,282	4,315,592
Other assets	16	110,593,659	53,729,903	Pending items	17	2,207,512	-
Pending items	17		6,349,179				
Total assets		1,390,418,253	1,183,317,807	Total debts		1,312,407,402	1,126,102,428
				<u>Equity:</u>			
				Capital	29	33,100,000	33,100,000
				On-account capital inc.		7,013,705	-
				Main company stocks	30	(1,406,993)	(1,307,030)
				Reserves	31	12,766,085	8,790,033
				Capital of sub-main co.	32	306,777	306,777
				Difference of exchange of financial statements for foreign branches	33	3,736,755	541,427
				Accumulated profit		20,407,155	14,758,240
				Total equity of main co.		75,923,485	56,189,448
				Minority share	34	2,087,367	1,025,931
				Total equity		78,010,852	57,215,379
				Sum of debts and equity		1,390,418,253	1,183,317,807
<u>Obligations:</u>	56			<u>Obligations:</u>	56		
Obligations of customers for L/C		64,241,431	91,857,660	Obligations of bank for L/C		64,241,431	91,857,660
Obligations of customers for bonds		267,799,255	140,018,937	Obligations of bank for bonds		267,799,255	140,018,937
Other obligations		125,614,007	82,507,945	Other obligations		125,614,007	82,507,945
Administered amount etc.		2,831,756	3,142,612	Administered amount etc.		2,831,756	3,142,612
Total		460,486,448	317,527,155	Total		460,486,448	317,527,155

Bank Mellat (Public JS)
Integrated Profit & loss statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
<u>A) Joint activities income</u>		(MRial)	(MRial)
Profit of facilities	35	63293415	51,524,742
Sale and services	35	21253165	21,736,978
Investments profit	37	11,907,819	8,185,441
Total joint incomes		96,454,399	81,446,161
Deducted:			
Finished price of sold goods	38	(18,580,857)	(19,363,892)
On-account investment profit	39	(59,267,694)	(46,499,677)
Paid to depositors	40	-	-
Depositors profit		(77,848,551)	(65,863,569)
Bank profit and fee		18,605,848	15,582,592
<u>B) Non-joint incomes</u>			
Received profit	41	37,465,005	20,880,157
Received fee	42	13,778,423	5,591,353
Other incomes	43	13,128,180	13,068,315
Total non-joint incomes		54,371,608	39,539,875
Total income		72,977,456	55,122,417
<u>C) Costs</u>			
Administrative costs	44	(26,556,289)	(19,678,572)
Doubtful claims	45	(10,935,123)	(11,398,486)
Service end allowances	46	(300,000)	(200,000)
Financial costs	47	(10,112,648)	(5,600,460)
Other costs	48	(781,510)	(869,167)
Total costs		(48,685,660)	(47,746,685)
Profit before tax		24,291,796	17,375,732
Deducted: Tax		(3,313,763)	2,216,622
Net profit		21,978,033	15,159,110
Minority share		279,053	163,377
Profit / share (Rls.40,000,000)		566	390
Profit / share (Rls.33,100,000)		684	471

Integrated accumulated profit

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		21,978,033	15,159,110
Start year acc. profit		13441152	7,014,241
Annual adjustments	49	<u>2,496,149</u>	<u>774,757</u>
Adjusted start year profit		14,937,301	778,898
Assignable profit		36,915,231	22,948,108
Changes of minority share		-	-
		36,915,334	22,948,108
<u>Profit assignment</u>			
Legal reserve		(3,947,641)	(2,608,493)
Reward of board		-	(2,314)
Approved dividend		(5,296,000)	(5,400,000)
Transfer to main company		<u>(6,900,000)</u>	-
		(16,143,641)	(8,010,807)
End year acc. profit		30,407,155	14,758,240
Minority share		364,537	179,061

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS) **Integrated comprehensive accumulated profit** **for year ending on Mar. 20, 2014**

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		21,978,033	15,159,110
Excess of reevaluation of tangible assets		0	306,777
Difference of exchange of financial statements of foreign branches	33	<u>3,736,755</u>	<u>541,427</u>
Comprehensive profit		2,571,478	16,007,314
Annual adjustment	49	<u>2,496,149</u>	<u>774,757</u>
Profit after last period report		28,210,937	16,782,071
Minority share		279,054	163,377

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS)
Integrated cash flow statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net cash flow of operations	52	10,273,568	26,095,662
<u>Return of investments:</u>			
Received profit		864,313	8,977,586
Paid profit for finance		(878,543)	(5,900,460)
Paid dividend		(7,000,601)	(4,460,457)
Received dividend		5,839	-
Paid dividend to minority stockholders		(415,701)	(8,035)
Net cash flow of investments and finance		(7,424,693)	(1,091,366)
<u>Income tax</u>			
Paid income tax		(2,935,960)	(1,455,447)
<u>Investment activities</u>			
Paid for obtaining investments		(1,982,691)	(8,914,901)
Paid for sell of investments		466,159	-
Paid for purchase of tangible assets		(5,884,217)	(7,086,634)
Paid for purchase of intangible assets		(164,525)	-
Received for selling fixed assets		840,391	(229,042)
Net cash flow for investments		(6,724,883)	(15,772,493)
Net cash flow before finance		(6,811,968)	7,776,356
<u>Finance activities:</u>			
Paid for received foreign facilities		(35,086)	(2,043)
Paid for facilities from Central Bank		-	(1,326,847)
Paid for facilities from other banks		9,670,520	361,114
<u>Chages of shares of main co.</u>		(99,963)	(647,413)
Net cash flow for finance		9,535,471	(1,615,189)
<u>Net cash flow inc.</u>		2,723,503	6,161,167
Effect of currency rate changes		503,399	-
Cash balance at start of year	53	22,987,991	16,826,824
Cash balance at end of year	53	26,214,893	22,987,991
Non-cash transactions	54	3,311,766	1,147,162

Bank Mellat (Public JS)
Bank Balance Sheet (on Mar. 20, 2014)

<u>Assets</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>	<u>Debts and Equity</u>	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar.20, 2013</u>
<u>Current assets:</u>		(MRial)	(MRial)	<u>Current debts:</u>		(MRial)	(MRial)
Cash inventory	5	14,980,894	11,107,268	Debt to Central Bank	18	277,661,295	205,531,018
Claims from Central Bank	6	108,833,625	94,832,738	Debt to other banks	19	52,772,289	44,555,595
Claims from othe banks	7	145,654,680	137,929,308	Visual deposits	20	266,960,459	276,803,530
Claims from government	8	40,414,003	34,039,756	Saving deposits etc.	21	60,150,743	80,892,581
Facilities to government	9	277,432,621	241,841,283	Long investment deposits	22	541,924,951	399,858,855
Facilities to group co.	10	14,626,160	11,904,049	Other deposits	23	50,659,692	68,318,246
Facilities to non-governme	10	567,343,057	459,046,270	Tax payable	24	747,510	1,631,117
L/C and drafts	11	25,022,038	26,780,293	Reserves etc.	25	18,952,340	14,772,267
Debentures etc.	12	14,235,197	46,227,046	For L/C and drafts	26	25,403,084	27,188,115
Investment & participation	13	21,897,423	22,587,733	Dividend payable	27	29,355	2,029,221
Tangible assets	14	39,552,896	35,342,444	Service end reserve	28	4,868,100	4,220,696
Intangible assets	15	2,379,268	1,535,565	Pending items	17	2,207,512	-
Other assets	16	98,288,799	51,467,580				
Pending items	17	-	6,349,179				
Total assets		1,370,660,659	1,180,990,512	Total debts		1,302,337,331	1,125,801,241
				<u>Equity:</u>			
				Capital	29	33,100,000	33,100,000
				On-account capital inc.		6,900,000	-
				Reserves	31	11,585,953	8,262,277
				Difference of exchange of financial statements for foreign branches	33	1,899,599	246,521
				Accumulated profit		14,837,776	13,580,474
				Total equity		68,323,328	55,189,272
				Sum of debts and equity		1,370,660,659	1,180,990,512
<u>Obligations:</u>	56			<u>Obligations:</u>	56		
Obligations of customers for L/C		64,241,431	91,857,660	Obligations of bank for L/C		64,241,431	91,857,660
Obligations of customers for bonds		267,799,255	140,018,937	Obligations of bank for bonds		267,799,255	140,018,937
Other obligations		125,614,007	82,507,945	Other obligations		125,614,007	82,507,945
Administered amount etc.		2,831,756	3,142,612	Administered amount etc.		2,831,756	3,142,612
Total		460,486,448	317,527,155	Total		460,486,448	317,527,155

Bank Mellat (Public JS)
Bank Profit & loss statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>		<u>Mar. 20, 2013</u>
<u>A) Joint activities income</u>		(MRial)		(MRial)
Profit of facilities	35	64,081,789		51,524,742
Sale and services	37	21,253,165		9,810,881
Total joint incomes			75,193,885	61,335,623
Deduced:				
On-account investment profit	39	(59,471,196)		(46,710,610)
Paid to depositors	40	-		-
Depositors profit			(59,471,196)	(46,710,610)
Bank profit and fee			15,722,689	14,625,013
<u>B) Non-joint incomes</u>				
Received profit	41	27,465,506		21,997,167
Received fee	42	13,778,488		5,588,536
Other incomes	43	9,781,073		12,358,799
Total non-joint incomes			51,025,067	39,944,502
Total income			66,747,756	54,569,515
<u>C) Costs</u>				
Administrative costs	44	(26,603,516)		(19,942,330)
Doubtful claims	45	(11,156,311)		(11,389,195)
Service end allowances	46	(300,000)		(200,000)
Financial costs	47	(10,034,891)		(6,117,852)
Other costs	48	(758,879)		(869,167)
Total costs			(48,685,660)	(38,518,542)
Profit before tax			17,894,159	16,050,972
Deduced: Tax			(1,101,780)	(1,344,908)
Net profit			16,792,379	14,706,064
Profit / share (Rls.40,000,000)			420	368
Profit / share (Rls.33,100,000)			507	444

Bank Mellat
Annual Report for 2013

Bank accumulated profit

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		16,792,379	14,706,064
Start year acc. profit		11846451	6,098,276
Annual adjustments	49	<u>1,734,023</u>	<u>382,043</u>
Adjusted start year profit		16,580,474	6,480,319
Assignable profit		30,372,853	21,186,383
<u>Profit assignment</u>			
Legal reserve		(3,339,076)	(2,205,910)
Reward of board		(6,900,000)	-
Approved dividend		(5,296,000)	(5,400,000)
		<u>(16,535,076)</u>	<u>(7,605,910)</u>
End year acc. profit		<u>14,837,776</u>	<u>13,580,474</u>

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat (Public JS)
Bank comprehensive accumulated profit
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net profit		16,792,379	14,706,064
Difference of exchange of financial statemetns of foreign branches	33	<u>1,899,599</u>	<u>246,521</u>
Comprehensive profit		18,691,978	14,952,585
Annual adjustment	49	<u>1,734,023</u>	<u>382,043</u>
Proft after last period report		<u>20,426,001</u>	<u>15,334,628</u>

Descriptive notes are irrevocable parts of financial statements.

Bank Mellat
Annual Report for 2013

Bank Mellat (Public JS)
Bank cash flow statement
for year ending on Mar. 20, 2014

	<u>Notes</u>	<u>Mar. 20, 2014</u>	<u>Mar. 20, 2013</u>
		(MRial)	(MRial)
Net cash flow of operations	52	13,137,954	13,664,558
<u>Return of investments:</u>			
Paid dividend		(7,295,866)	(4,587,005)
Net cash flow of investments and finance		(7,295,866)	(4,587,005)
<u>Income tax</u>			
Paid income tax		(2,185,196)	(995,577)
<u>Investment activities</u>			
Paid for purchase of fixed assets		(3,321,345)	(2,189,788)
Received for selling fixed assets		36,330	587,700
Net cash flow for investments		(3,285,015)	(1,602,088)
Net cash flow before finance		371,877	6,479,888
<u>Finance activities:</u>			
Paid for received foreign facilities		(35,086)	(2,043)
Paid for facilities from Central Bank		-	(1,326,847)
Net cash flow for finance		(35,086)	(1,328,890)
<u>Net cash flow inc.</u>		336,791	5,150,998
Cash balance at start of year	53	19,904,020	14,753,022
Cash balance at end of year	53	20,240,811	19,904,020

Descriptive notes are irrevocable parts of financial statements.

All pages signed & sealed: Audit Organization